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November 30, 1993

To: Members of the Executive Board

From: The Acting Secretary

Subject: Kenya - Staff Report for the 1993 Article IV Consultation
and Request for One-Year Arrangement Under the Enhanced
Structural Adjustment Facility

Attached for consideration by the Executive Directors is the staff report for the 1993 Article IV consultation with Kenya and its request for a one-year arrangement under the enhanced structural adjustment facility. A draft decision appears on page 23.

This paper, together with the policy framework paper for Kenya (EBD/93/176, 11/17/93) and the letter of intent from the Kenyan authorities (EBS/93/181, 11/17/93), is tentatively scheduled for discussion on Wednesday, December 22, 1993.

Mr. Hino (ext. 38379) or Mr. Brekk (ext. 38754) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Preparation Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the European Communities (EC) and the GATT Secretariat, following its consideration by the Executive Board.

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INTERNATIONAL MONETARY FUND

KENYA

Staff Report for the 1993 Article IV Consultation
and Request for a One-Year Arrangement Under
the Enhanced Structural Adjustment Facility

Prepared by the African Department and the
Policy Development and Review Department

(In consultation with Fiscal Affairs, Legal, Monetary
and Exchange Affairs, and Treasurer's Departments)

Approved by E.L. Bornemann and A. Basu

November 29, 1993

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Summary

1. The Kenyan economy deteriorated sharply beginning in late 1991, and culminating in an economic crisis in March 1993. Key among the contributing factors was mismanagement of public financial institutions.
2. Since April 1993, major strides have been made in economic reform under the staff-monitored macroeconomic framework, although progress was uneven in the initial period. The principal achievements are:
 - substantial tightening of monetary policy;
 - restoration of stability in the financial system;
 - establishment of a market-based, unified exchange system;
 - substantial liberalization in the marketing of maize; and
 - initial steps to restructure the Kenya Posts and Telecommunications Corporation under new management.
3. As a result, since the third quarter of 1993, inflation has decelerated sharply, the exchange rate has appreciated, foreign exchange reserves have increased, and external payments arrears have begun to decline.
4. Kenya has now presented a PFP covering 1994-96 and a program for October 1993-September 1994, in support of which it has requested a one-year ESAF arrangement (for an amount of SDR 45 million, equal to the undrawn balances under the expired three-year arrangement). The main macroeconomic objectives are summarized below:

(In percent)	1992	1993	1994	1995	1996
Real GDP growth	0.4	0.2	3.0	5.0	6.0
Inflation (end-period)	33.7	54.4	10.0	7.5	7.5
Budget deficit (-)/GDP <u>1/</u>	-10.4	-6.1	-2.9	-2.0	-2.0
Public enterprises' surplus/ GDP <u>1/</u>	-0.4	0.8	1.9	...	...
Money supply growth (M2)	33.6	15.5	10.0 <u>2/</u>	...	...
Current account deficit (-)/GDP	-4.2	-1.6	-1.5	-1.2	-0.8
Gross international reserves (in months of imports)	1.2	1.8	1.9	2.1	2.3

1/ Fiscal year starting July 1 of the calendar year indicated. Budget deficit, excluding grants.

2/ The 12-month period ending September 1994.

5. A number of structural measures are to be implemented under the program, viz.:

- retrenchment of the civil service by 10 percent (and some 25 percent by July 1997);
- privatization of about 10 percent of all public enterprises regarded as "nonstrategic;"
- elimination of all remaining price controls;
- removal of all remaining restrictions on movement and prices of maize;
- for other agricultural products, sale of government-owned processing plants and removal of public sector monopolies;
- elimination of the remaining requirement to surrender foreign exchange to the central bank;
- full decontrol of marketing and pricing of crude oil and petroleum products;
- investment deregulation and removal of export disincentives; and
- provision of a social safety net.

6. The Government has decided to request multilateral debt rescheduling, limited to existing arrears only and on a nonconcessional basis. Together with the pledges made at the Consultative Group meeting on November 22-23, 1993, the external financing gap for 1994 has been closed. No financing gap is projected beginning in 1999, and external payments viability is expected to be restored by that time.

7. The staff calls for further measures to assure sound management of public financial institutions and to foster good governance. The authorities are urged to be vigilant in avoiding policy reversals and ensuring full implementation of the program. The staff attaches particular importance to strict control and restraint of budgetary expenditures, to ensure the programmed reduction in the budget deficit. The staff supports Kenya's request for the ESAF arrangement, and urges the donor community to support economic reform in Kenya.

8. Following the liberalization over the last several months, Kenya no longer maintains any exchange restrictions under Article XIV or subject to Fund approval under Article VIII.

I. Introduction

The 1993 Article IV consultation with Kenya, and the discussions on a policy framework paper (PFP) and a one-year arrangement under the enhanced structural adjustment facility (ESAF), were held in Nairobi in July, September, and October 1993. 1/ The Kenyan representatives included Mr. W.M. Mudavadi, Minister for Finance; Dr. W. Koinange, Permanent Secretary for Finance; Mr. M. Cheserem, Governor of the Central Bank of Kenya (CBK); and other ministers and senior officials of economic ministries and public enterprises. The team also met representatives of the international donor community and the private sector.

Kenya is on the standard 12-month Article IV consultation cycle, and the last Article IV consultation was concluded on July 17, 1992. At that time, Executive Directors stressed that Kenya would need to re-establish a solid track record of sustained policy implementation to restore the confidence of the international donor community, through reduction of the budget deficit; improvements in the monitoring of budgetary developments; tightening of monetary policy and stricter bank supervision; and implementation of action plans for large state corporations. Directors expressed concern that Kenya had reverted to administrative restrictions on access to foreign exchange.

The Executive Board has been kept informed of developments in Kenya since then (e.g. EBD/92/233, 9/30/92 and EBD/93/42, 3/16/93). In particular, the Board was apprised of the adoption of a staff-monitored macroeconomic framework by the Kenyan Government in May 1993 (EBD/93/90, 5/21/93).

In a letter to the Managing Director, dated November 16, 1993, 2/ the Government of Kenya requested a one-year arrangement under the ESAF, in support of a program for October 1, 1993-September 30, 1994, in an amount equivalent to SDR 45.23 million (or 22.7 percent of quota). This amount would be disbursed in two equal installments--the first upon Executive Board approval of the arrangement and the second upon completion of a midterm review in July 1994. The amount of the proposed arrangement equals the

1/ The staff teams consisted of Mr. H. Hino (head), Mr. O.P. Brekk, Ms. C. McAuliffe (all AFR), Mr. G. Tsibouris (FAD), Ms. N. Ishii (PDR), Mr. A. Mahar (assistant-AFR for the July mission), and Ms. C. Driscoll (assistant-AFR for the October mission). Messrs. M. Carter and A. Rajaram of the World Bank participated in the discussions relating to the PFP.

2/ Issued as EBS/93/181, 11/17/93. The accompanying PFP was issued as EBD/93/176, 11/17/93.

undrawn balance under the three-year ESAF arrangement for Kenya that expired on March 31, 1993. ^{1/}

As of October 31, 1993, Kenya's outstanding use of Fund resources was SDR 244 million (122 percent of quota), or SDR 2 million (1 percent of quota) excluding SAF/ESAF resources (Appendix II, Table 1). At the end of the proposed ESAF arrangement in November 1994, the outstanding use of Fund resources would be SDR 281 million (141 percent of quota), all of which would be SAF/ESAF resources.

At the Consultative Group meeting for Kenya on November 22-23, 1993, the international donor community made new commitments of financial assistance of about US\$850 million. The World Bank has resumed its adjustment lending to Kenya with the disbursement of US\$85 million under the Export Development Credit in May 1993; the disbursement of the second tranche of the Education Sector Adjustment Credit (EDSAC) is expected shortly. The African Development Bank approved an Export Development Program loan of US\$38 million in November. A bilateral donor disbursed balance of payments support in November, and additional balance of payments support is also expected from several bilateral donors in 1994.

The text of the proposed arrangement under the ESAF is contained in Appendix I. Appendix II provides statistical tables. Appendices III and IV summarize the Fund's and the Bank's relations with Kenya, respectively, while Appendix V contains social and demographic indicators.

II. Background

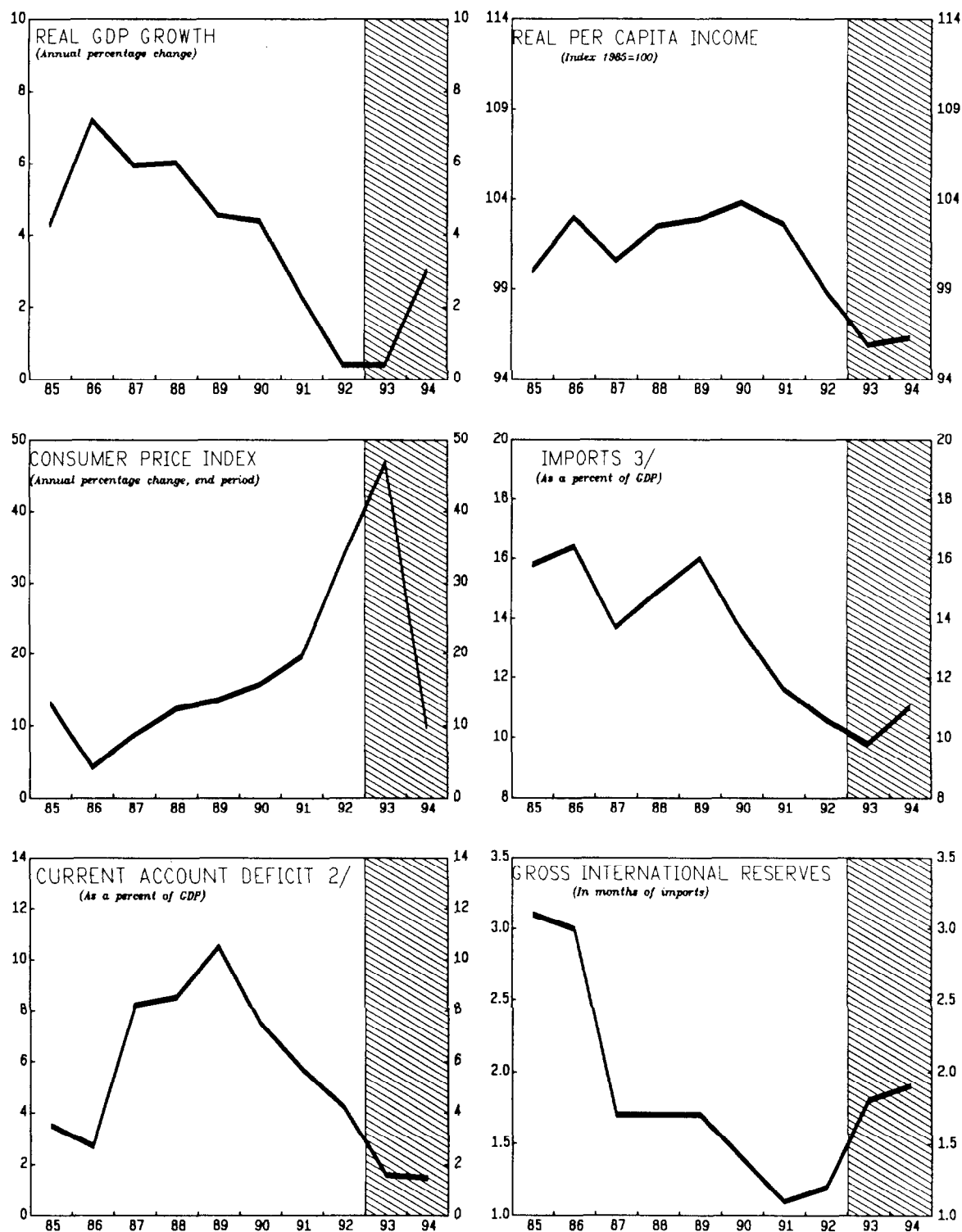
1. Causes of the economic crisis

Following a generally favorable economic performance in most of the period since independence, Kenya experienced sharply worsened economic conditions from late 1991 onward. Economic growth decelerated from 4.4 percent in 1990 to 0.4 percent in 1992, inflation (measured by the CPI) accelerated from 20 percent (end period) in 1990 to 34 percent in 1992, and external payments arrears emerged for the first time in Kenya's history (Chart 1 and Table 2). In early 1993, the domestic and external imbalances intensified. Economic activity remained depressed, inflation accelerated to 58 percent in the first quarter of the year (annualized increase in the quarter), and external payments arrears increased to US\$652 million at end-March. By March 1993, the economy was in a crisis, with severe shortages of foreign

^{1/} The three-year ESAF arrangement was approved in November 1989. The first two annual arrangements were completed on schedule. The third annual arrangement was approved in July 1991, and the fifth semi-annual disbursement was made at that time. The review under the third annual arrangement was not completed, despite the extension of the three-year arrangement period to March 31, 1993.

- 2a -

CHART 1
KENYA
LONG-TERM ECONOMIC TRENDS, 1985-94 1/



Source: Data provided by the Kenyan authorities; and staff estimates.

1/ Data for 1993 are estimates. Data for 1994 are projections.

2/ Excluding grants.

3/ Real imports as a percent of real GDP.

exchange, and prospects of factory closings and layoffs adding to the already high unemployment.

Several factors contributed to this crisis: (i) the economy was buffeted by a series of exogenous shocks, including irregular rainfalls, a large influx of refugees from neighboring countries, and lower growth and unfavorable prices in export markets; (ii) unsettled social and political conditions during the democratization process impacted on economic policy-making (the first multiparty presidential and parliamentary elections were held in December 1992); (iii) balance of payments assistance from bilateral donors was suspended in late 1991, reflecting donors' concerns over economic policy and political reform; and (iv) several major economic policy reversals occurred, notably in liberalization of the external sector and the maize market, undermining the public's confidence in the Government's economic management.

In addition, widespread mismanagement of the financial system contributed critically to the economic crisis. The mismanagement involved access to central bank credit by several commercial banks through irregular means, including: (i) large overdrafts with the CBK; (ii) access to the export pre-shipment finance facility for financing of gold exports which do not appear in the customs statistics; and (iii) persistent deficiency in meeting the statutory cash ratio. Moreover, as the overdraft and export pre-shipment finance facilities were closed in March, these banks obtained CBK credit for an extended period by having the CBK encash checks ahead of settlement and repeating this process. In addition, the banks "sold" foreign exchange to the CBK, and received payment in local currency, but delayed the delivery of foreign exchange or did not deliver it at all. Credit extended by the CBK through these channels amounted to K Sh 14 billion (54 percent of reserve money) at the end of 1992, increasing to K Sh 18 billion (71 percent of reserve money) at the end of March 1993 (Chart 2).

These problems compounded the perennial difficulties relating to the central government budget and public enterprise performance. The overall budget deficit (excluding grants, and on a commitment basis) averaged 7 percent of GDP over the last five fiscal years. ^{1/} The budget problem could be attributed mainly to relatively large expenditures (30 percent of GDP), resulting from an excessive wage bill, unauthorized expenditures, and large subsidies (Chart 3). Public enterprises have typically had an unnecessarily large staff contingent and have lacked adequate financial discipline. In early 1993, public enterprises were in arrears to the Treasury, on debt service and tax payments, in an amount of K Sh 15 billion. Of this amount, K Sh 4 billion was attributable to the Kenya Posts and Telecommunications Corporation (KPTC), which was also in arrears to the National Social Security Fund (NSSF). At the same time, the KPTC had lent a large amount to a relatively small bank on a long-term basis.

^{1/} The fiscal year is July 1-June 30.

2. Developments under the macroeconomic framework and prior actions

Faced with the escalating economic crisis, the Government adopted, in April 1993, a macroeconomic framework for April-December 1993, to restore macroeconomic stability and resume progress in economic reforms (EBD/93/90, 5/21/93). The implementation of economic policies under the framework was slower-than-envisaged in certain areas, but overall, important strides were made toward achieving the objectives of this framework. The end-September quantitative benchmarks--relating to the central government budget deficit, net domestic assets of the CBK, net credit to Central Government from the CBK, finances of four major public enterprises, net international reserves of the CBK, external debt contracted or guaranteed by the public sector, and external payments arrears--were all met (Table 3). As regards the structural benchmarks, positive real interest rates were attained; the objective of price decontrol was partially achieved (prices of petroleum products and maize remained under control); and, while the date for the increase of retention of foreign exchange by exporters to 100 percent was pushed back from the framework target of September 1993 to April 1994, the exchange rates were unified ahead of schedule.

The main achievements under the macroeconomic framework are as follows:

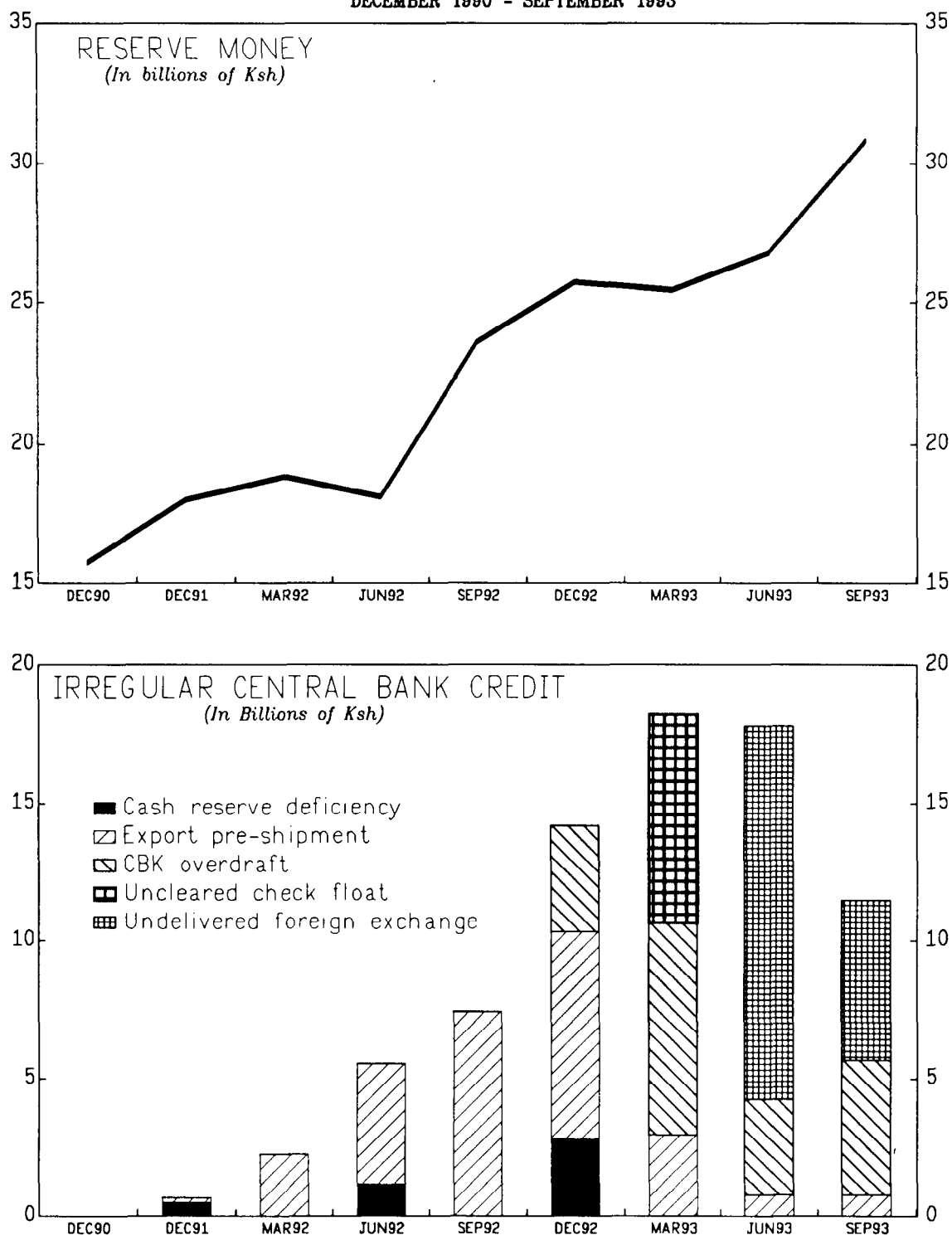
First, monetary policy was tightened. The CBK (i) issued an average of K Sh 12 billion in treasury bills per month (or about 46 percent of reserve money) over the March-June period, which brought interest rates on these bills to 85 percent (i.e., positive real levels) in July (Chart 4); (ii) raised the statutory cash ratio from 6 percent to 14 percent, in four steps; (iii) strictly enforced compliance with the statutory cash ratio; (iv) stopped advance clearing of checks; and (v) tightened the access to the CBK's rediscount and overnight advances by setting the interest rates at 2.5 percentage points above the highest accepted bid in the latest treasury bill auction and by limiting the eligibility of rediscountable securities.

In April-May, the effort to tighten monetary conditions was severely hampered by CBK credit extended through the irregular means discussed above. To achieve the intended absorption of liquidity, sales of treasury bills to the public had to be considerably larger than had been envisaged, at correspondingly higher interest rates. Consequently, interest payments by the Government were much larger than expected, which required substantially higher-than-programmed CBK credit to the Government. This, in turn, meant that reserve money was higher than originally programmed, and to offset its impact on domestic liquidity, the statutory cash ratio had to be increased further. Reflecting the tighter monetary conditions, currency in circulation was virtually unchanged through September 1993 (Chart 4).

Second, the stability was largely restored in the financial system. The Government closed the four commercial banks directly responsible for the irregular transactions, and recovered K Sh 7.9 billion of credit extended through undelivered foreign exchange. Outstanding CBK credit extended

- 4a -

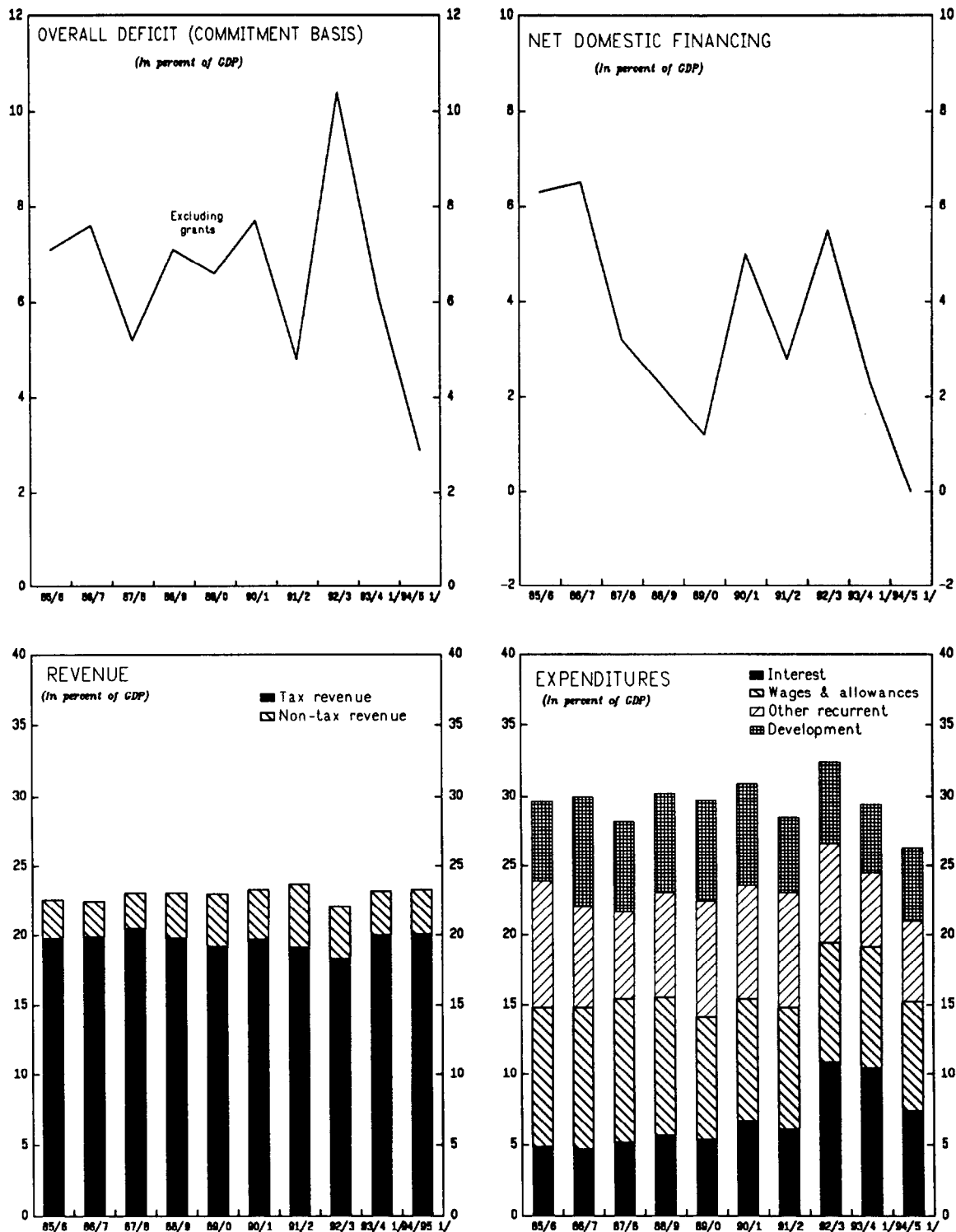
CHART 2
KENYA
RESERVE MONEY AND IRREGULAR CENTRAL BANK CREDIT
DECEMBER 1990 - SEPTEMBER 1993



Source: Data provided by the Kenyan authorities; and staff estimates.

- 4b -

CHART 3
KENYA
CENTRAL GOVERNMENT FISCAL OPERATIONS, 1985/86 - 1994/95

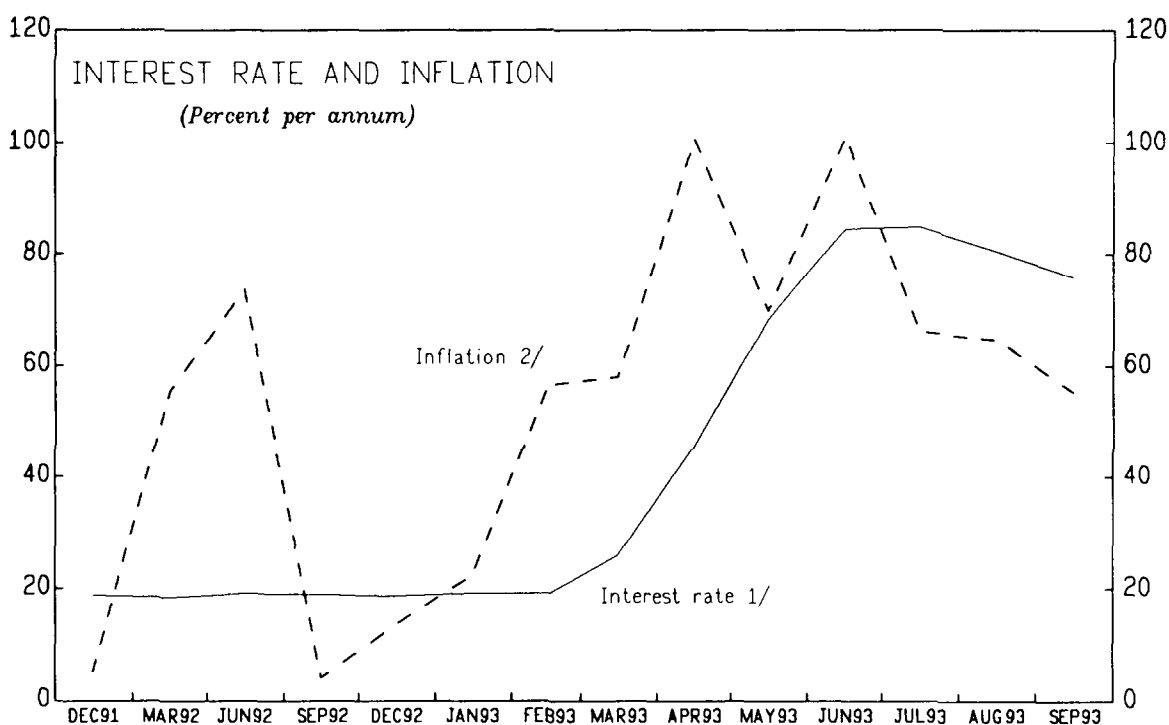
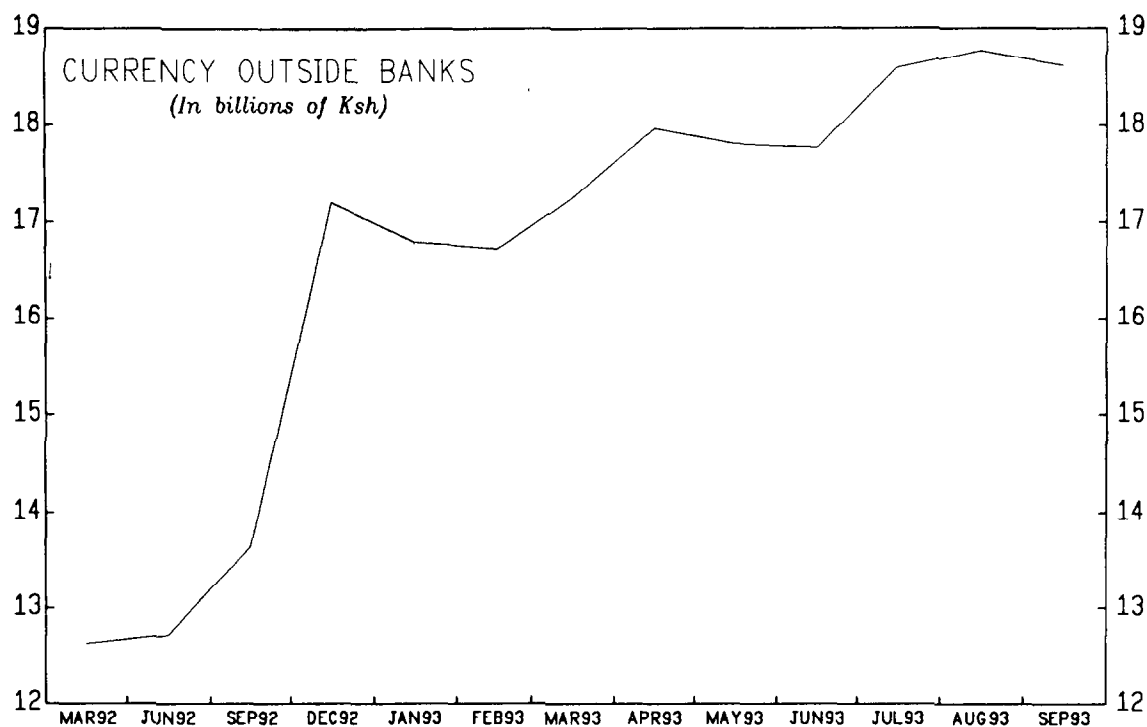


Source: Data provided by the Kenyan authorities; and staff estimates.

1/ Program.

- 4c -

CHART 4
KENYA
MONETARY INDICATORS, DECEMBER 1991 - SEPTEMBER 1993



Source: Data provided by the Kenyan authorities; and staff estimates.

1/ Average monthly effective annual yield on Treasury bills.

2/ Quarterly change in CPI, annualized.

through the irregular channels declined to K Sh 11 billion at end-September, all of which was owed by the closed banks, and which is to be collected through liquidation. Moreover, the management of two other banks was replaced; eight other nonbank financial institutions were liquidated; special audits were completed for 28 banks and nonbank financial institutions, on the basis of which restructuring plans will be developed as necessary; and the management of the NSSF was replaced, and was instructed to invest all its net proceeds in treasury paper, pending the adoption of a sound investment strategy. ^{1/} The CBK is also under new management.

Third, the exchange and trade system was liberalized. In May, import licensing was eliminated, except for a short negative list based on health, security, and environmental considerations, and import procedures were streamlined through simplified import documents. Also, payments and transfers for current international transactions were liberalized (see Section III.7). Moreover, export retention was reintroduced at 50 percent of export earnings for all exporters, and a market-based exchange system was reinstated. The official exchange rate was kept, but was applied only to servicing of government and government-guaranteed debt, budgeted government imports, and foreign exchange surrendered to the CBK by exporters. On October 17, the exchange rates were unified; subsequently, the official rate has been set at the average market rate for the preceding day.

Fourth, maize marketing was substantially liberalized. The monopoly of the National Cereals and Produce Board (NCPB) for importation and transportation of maize has been abolished. Private traders may now import maize without restrictions, and imported maize may be freely transported within the country. In addition, up to 8 tons of domestic maize may be transported freely at one time. As this weight limit applies to one truck-load, control on the movement of local maize in effect has been substantively removed. The consumer price of maize, which will remain under direct control until July 1994, was increased by 31 percent in September, and is now higher than prices in the neighboring countries. If necessary, the Government will adjust the consumer price of maize, so that price control would not be an impediment to free private sector trading of maize.

Fifth, civil service reform was initiated. After some initial delay, the Civil Service Reform Programme and Action Plan was approved by Cabinet in July 1993, and a secretariat to coordinate the reform was established in August. Posts that became vacant have not been filled, and hiring has been strictly limited to key positions at higher grades. As a result, during April-September 1993 the number of civil servants was reduced by about 6,600. In September, 13,954 civil service positions were eliminated, representing about 5 percent of total positions, compared with the target of 9,750 positions (Chart 5).

^{1/} The NSSF had assets of some K Sh 40 billion (10 percent of GDP) at end-September 1993. A large share of its portfolio (20-30 percent) was kept as bank deposits, much of which was held with weak banks.

Sixth, the execution of central government budget was broadly in line with the macroeconomic framework, apart from the effect of the larger-than-expected interest payments and outlays to cover losses incurred by the CBK. Although the 1992/93 budget deficit (excluding grants, and on a commitment basis) was an extremely large 10.4 percent of GDP (Table 4), if one excludes the effect of higher interest payments and the transfer to the CBK, the deficit was 6.9 percent of GDP, compared with a revised target of 6.8 percent of GDP under the framework. The 1993/94 budget approved by Parliament in July featured revenue measures, expenditure savings, and a deficit target in line with the macroeconomic framework. The budget was revised in early September to take account of the higher interest payments. At that time, some revenue measures were adopted to meet most of the additional expenses (see Section III. 2). The deficit in the first quarter of 1993/94 was in line with the revised target.

While the overall budget performance was broadly in line with the objectives, unauthorized expenditures and spending in excess of the approved ministerial votes continued. To avoid future overruns, the Government has now strengthened expenditure control. Computerized monthly expenditure monitoring by individual ministries has been introduced; CBK and Exchequer Accounts are now simultaneously reconciled; quarterly expenditure allocation has been introduced; and sanctions have been reinforced against accounting officers in noncompliant ministries. Letters of appointment have been sent to accounting officers in all ministries, clarifying their personal responsibility for any expenditure overruns.

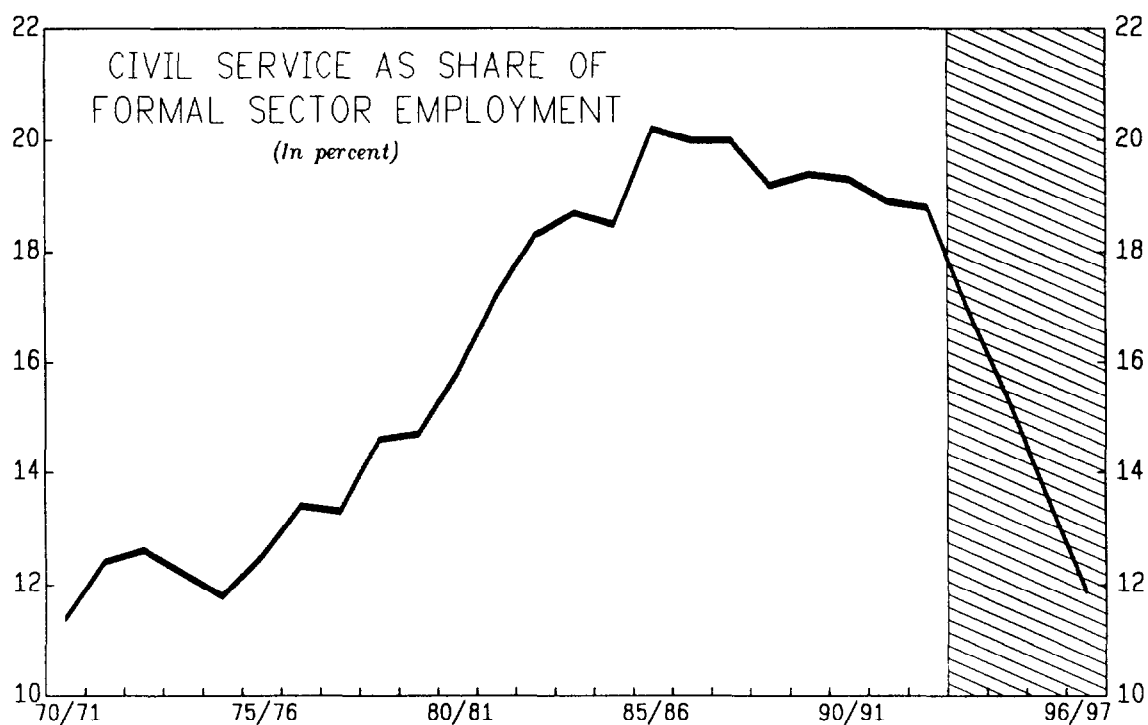
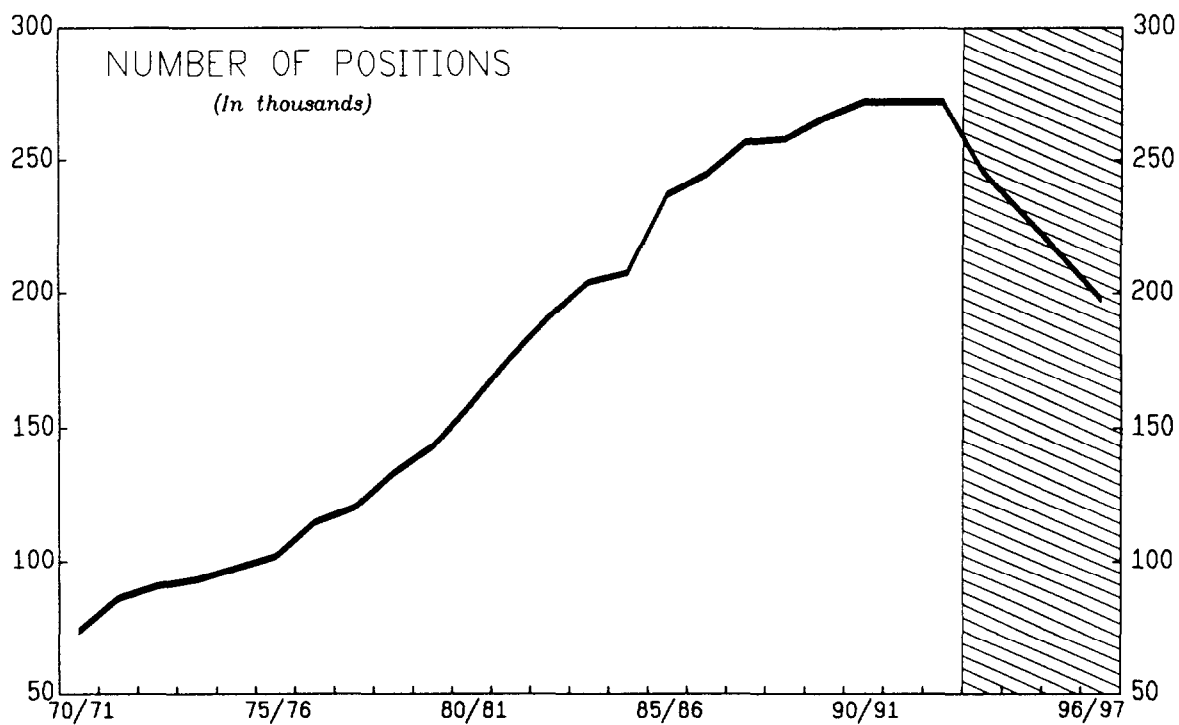
Performance in regard to public enterprises was mixed. The operating performance of four key public enterprises ^{1/} in April-September 1993 was somewhat stronger than expected, and the Kenya Power and Lighting Corporation and Kenya Railways undertook cost-cutting measures--including staff reductions--as envisaged. Overall, however, the higher-than-expected combined profit of the four enterprises reflected larger-than-planned tariff adjustments, foreign exchange gains, and sales of fixed assets, rather than improved efficiency or lower costs. The lack of progress in improving efficiency and reducing costs was most pronounced in regard to the KPTC and the NCPB--very little progress was made toward reducing the staffs of these two enterprises.

In October-November 1993, the Government took important first steps toward reforming KPTC and NCPB. The top management of the KPTC was replaced; the Corporation was able to improve its financial position by becoming current on its payments to the NSSF and by consolidating its bank deposits; and a decision was taken to separate the postal and telecommunications operations into two companies, and to privatize the telecommunications operations as a longer-term goal. As for the NCPB, the removal of its monopoly on maize importation and distribution is expected to lead to

^{1/} Kenya Power and Lighting Corporation, KPTC, Kenya Railways, and NCPB.

- 6a -

CHART 5
KENYA
CIVIL SERVICE, 1970/71 - 1996/97



Source: Data provided by the Kenyan authorities; and staff estimates.

greater efficiency and a scaling back of the Board's operations as it faces competition from private traders.

As a result of the implementation of the macroeconomic framework, the economy has started stabilizing. Inflation decelerated from 101 percent (annualized quarterly rate) in June to 51 percent in October, with the monthly rate of increase in October at an annualized rate of 13 percent (Chart 6). The market exchange rate has appreciated by almost 20 percent since mid-June. Net international reserves of the CBK improved from minus US\$194 million at end-March to minus US\$154 million at end-September, and external payments arrears declined slightly in the third quarter. The external current account deficit (excluding official transfers) is estimated to decline from US\$356 million (4.2 percent of GDP) in 1992 to US\$98 million (1.6 percent of GDP) in 1993 (Table 5). With a relatively large capital account surplus, reflecting resumption of balance of payments support from the World Bank and a bilateral donor, an overall balance of payments surplus of US\$168 million is projected for 1993. Real GDP is expected to remain stagnant in 1993, reflecting lack of confidence and weak domestic demand.

III. Report on Discussions and Proposed Program

The discussions focused on the near- and medium-term prospects for growth and inflation, policies to restore external payments viability, and the program for which the authorities are requesting support under the ESAF.

The proposed program aims at achieving economic growth of 3 percent in 1994, increasing to 6 percent by 1996; reducing the rate of inflation to 15 percent (annualized rate) in the final quarter of 1993, and to less than 10 percent in 1994; lowering the external current account deficit (excluding official transfers) to 1.5 percent of GDP in 1994, and further to 0.8 percent of GDP by 1996; and raising gross international reserves from 1.8 months at end-1993 to 1.9 months at end-1994, and further to 2.3 months at end-1996 (Table 6). External payments arrears would be settled in 1994 through cash payments and multilateral rescheduling, and external payments viability would be restored by 1999.

The key elements of the proposed adjustment effort for the October 1993-September 1994 program period are: (i) a reduction in the central government budget deficit (excluding grants, commitment basis) from 10.4 percent of GDP in 1992/93 to 6.1 percent of GDP in 1993/94, and to 2.9 percent of GDP in 1994/95; (ii) a turnaround in the combined operating performance of four key public enterprises from a deficit of K Sh 1.2 billion in 1992/93 to surpluses of K Sh 3.0 billion in 1993/94 and K Sh 8.6 billion in 1994/95; (iii) credit policy to limit broad money growth to about 10 percent in the 12-month period ending September 1994, and maintenance of positive real interest rates; (iv) complete abolition of direct price controls; (v) complete removal of the remaining restrictions on movement of local maize, and scaling back of public-sector involvement in processing and marketing of other agricultural products; (vi) elimination of all remaining

requirements to surrender export earnings to the CBK, and removal of disincentives for private investment and exports; and (vii) provisions to alleviate the transitional hardships of civil service retrenchment and liberalization of the maize market.

1. Near- and medium-term outlook ^{1/}

The prospects for the Kenyan economy in 1994 appear difficult. Rain-fall has continued to be irregular since June (the planting season for main maize crop next year), and shortfalls in domestic maize production in 1993/94 of 1 million metric tons, equal to 60 percent of marketed production, are now projected. Although tea and coffee--traditional cash crops--continue to do well, spurred by export retention and other recent measures, overall agricultural production is projected to grow only by 5 percent in 1994. Moreover, increased incidence of violent crimes (which is related in part to the conflict in a neighboring country), continued ethnic clashes in certain areas, the presence of refugees from neighboring countries, and the emerging religious/ethnic conflict in Mombasa, all tend to weaken business and investor confidence. The increases in production in the industry and services sectors are expected to be limited to 2.7 percent and 1.5 percent, respectively, in 1994, as domestic demand continues to be weak. Under these circumstances, the authorities believed, and the staff concurred, that overall real GDP growth of 3 percent in 1994 would represent a credible target.

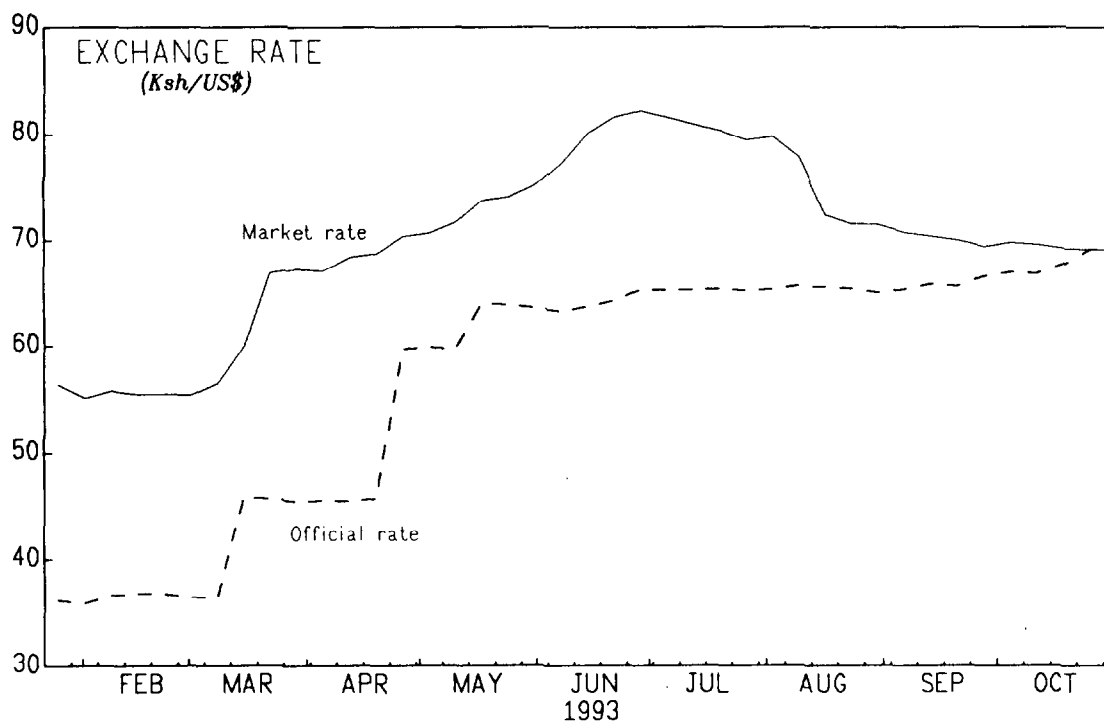
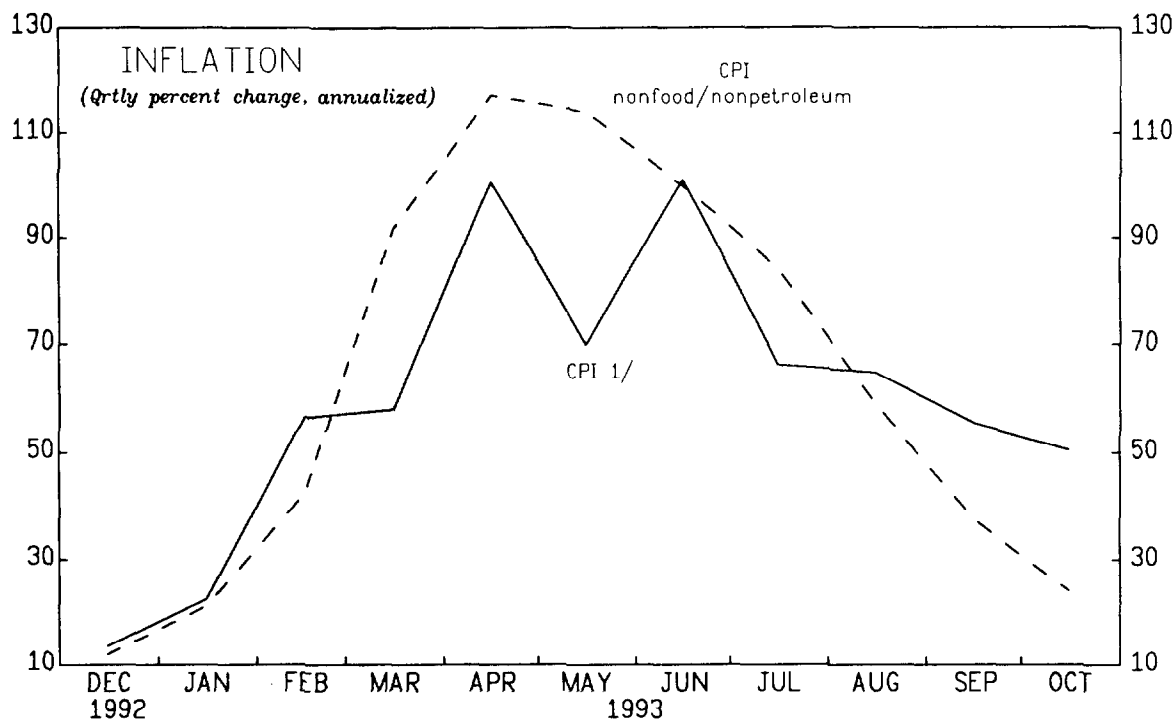
Given the uncertain near-term outlook, the authorities attach the highest priority to consolidating and extending the stabilization gains. The underlying rate of inflation (i.e., excluding food and petroleum) had declined to 24 percent (annualized rate) in the three-month period ended in October 1993 and substantial destocking was taking place as a result in part of the tight monetary conditions. The authorities acknowledged the significant inflationary impact from the large increases in the consumer price of maize and the electricity tariffs in September 1993, as well as the unfavorable food supply situation, but thought that this would be largely offset by a lagged effect of the recent substantial appreciation of the Kenya shilling. They believed, therefore, that the targeted reduction in inflation was within reach.

Over the medium term, assuming that normal weather conditions return and the security situation in neighboring countries improves, the authorities believe that real GDP growth could accelerate to 5-6 percent by 1996, broadly the rate of growth achieved during the 1980s. Even this rate of growth, however, would not be sufficient to rapidly lower the unemployment rate, presently estimated at 20 percent for urban areas. With annual population growth of 3.6 percent and a predominantly young population, the work force is expected to grow strongly in the coming years. Real GDP

^{1/} Medium- and long-term balance of payments prospects are described in section IV below.

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CHART 6
KENYA
INFLATION AND EXCHANGE RATE, DECEMBER 1992 - OCTOBER 1993



Source: Data provided by the Kenyan authorities; and staff estimates.

1/ Composite consumer price index.

growth of 7-8 percent, therefore, is seen to be required if the unemployment problem is to be addressed forcefully.

While it would not be realistic to target such a high growth in the next few years, the economic policies should aim at maximizing productivity growth and increasing private investment and saving. The authorities' medium-term strategy is designed to achieve these goals, and is built on five pillars: 1/ (i) macroeconomic stabilization; (ii) reduction of the role of the public sector; (iii) establishment of a stable and sound financial system; (iv) promotion of exports; and (v) domestic deregulation, including improvement in the private investment environment.

2. Fiscal policy

The 1993/94 budget aims at reducing the overall deficit by 4.3 percent of GDP to 6.1 percent of GDP. The planned deficit is still too large, in view particularly of the large domestic debt the Government has accumulated and the need for fiscal policy to play its part in the adjustment process. Nevertheless, the budget is constrained by the high interest payments (10.5 percent of GDP), and the reduction of 4.3 percent of GDP in one year, if realized, would represent a credible objective.

A number of revenue measures have been introduced for 1993/94 to enhance revenue by widening the tax base and improving the tax administration. As regards the value-added tax (VAT), its coverage was expanded to include construction, automobile parts, and equipment repair and rental, while the rate structure was rationalized. In regard to customs duties, the basis for import duty valuation was changed to reflect in part the market exchange rate, and a new contract for pre-shipment inspection will be signed to ensure proper valuation of imports for customs purposes. (Earlier, the emphasis of inspection was for overvaluation and associated capital flight.) Concerning income taxes, a Personal Identification Number system was reintroduced, while presumptive taxation for agriculture was abolished. Also, collection of tax arrears from parastatals will be strengthened, and excise duties on petroleum products were raised and shifted to an ad valorem basis. In addition, in September 1993, all import duties were increased by 25 percent, raising the maximum rate to 62 percent. The authorities were reluctant to increase the tariffs, but this was the only practical option to mobilize additional resources (K Sh 2.8 billion) quickly. They intend to lower the rates as soon as alternative revenue sources are identified. On the whole, revenue is projected to increase by 1.1 percent of GDP to 23.2 percent of GDP.

Expenditure cuts amounting to 3.1 percent of GDP are envisaged for 1993/94. The expenditure cuts are to be achieved largely from broad-based cuts in recurrent operations and maintenance outlays (0.9 percent of GDP),

1/ The PFP provides a detailed description of the medium-term adjustment strategy.

and a reduction in development expenditure through stricter prioritization of projects (0.8 percent of GDP). The authorities raised the consumer price of maize by 31 percent in September, and are committed to take additional measures as required to contain the maize subsidy within the budget provision (of K Sh 2 billion). In real terms, nonwage, noninterest recurrent expenditure will decline by 28 percent in 1993/94 and development expenditure by 19 percent. Additional savings are expected from the elimination of transfers to the CBK (0.8 percent of GDP) and a restructuring of debt owed to the CBK into longer-term, lower-cost instruments (0.5 percent of GDP). The CBK has cut its spending substantially, including through a scaling back of construction of the new CBK building, to assure a profit of at least K Sh 3 billion in 1993/94 (i.e., the dividend expected in the budget).

The authorities expressed concern that the expenditure restraint might undermine necessary maintenance and development projects. They cited cases where donor-financed projects had already been postponed because of lack of government counterpart funds. They concurred with the staff, however, that curbing the deficit and improving the quality and control of development projects were of key importance at this stage of the adjustment effort. Once improvement occurs in these areas, it may be possible to support a higher level of development and maintenance expenditure.

The staff emphasized that, in order to meet the budget deficit target, strict enforcement of expenditure controls was needed. The Kenyan authorities fully shared this view, citing the actions already taken to this end (see Section II.2 above), and reaffirming that sanctions would be applied to officials who do not comply with the expenditure guidelines.

The 1994/95 budget will aim at further reducing the deficit to 2.9 percent of GDP, entirely through cuts in expenditure. Expenditure savings will derive from lower domestic interest payments (3.1 percent of GDP) and elimination of the maize subsidy (0.5 percent of GDP). These savings will create some room for an increase in operations and maintenance outlays and development expenditure.

On the basis of the above budgetary targets for 1993/94 and 1994/95, net repayment of K Sh 4 billion to domestic creditors is targeted for the program period, October 1993-September 1994 (Table 7). ^{1/} Only a small repayment to the CBK (K Sh 0.2 billion) is programmed. Repayments to non-CBK creditors will take the form of net redemption of government securities, as primary issues in weekly auctions and open market sales will fall short

^{1/} In fiscal 1993/94, net domestic borrowing of K Sh 9 billion is expected. Net domestic borrowing of K Sh 15 billion already took place in the July-September 1993 quarter as the disbursements of the World Bank's EDSAC (K Sh 6 billion) and a bilateral loan (K Sh 5 billion) were delayed. In addition to these loans, external budgetary support of K Sh 6.5 billion is expected, and net repayment to domestic creditors of K Sh 6 billion is planned for the remainder of this fiscal year.

of redemptions. It is assumed that net repayments to commercial banks and to the nonbank public would amount to K Sh 1.3 billion and K Sh 2.5 billion, respectively, roughly in proportion to their share in outstanding treasury bill holdings.

3. Civil service reform

Civil service reform is expected to contribute to fiscal adjustment in the longer term, and at the same time allow for some reversal of the erosion in real wages of civil servants. The program includes a reduction in the number of civil service positions by 16,000 during October 1993-September 1994, and a continued reduction in the number of positions by 16,000 each year through 1996/97. By July 1997, the civil service establishment will have been reduced by about 25 percent, bringing the share of civil service in total formal employment to the level of the mid-1970s. The program excludes teachers because of the need to improve access to education.

The reduction in the civil service forms part of a broader reform effort to improve the efficiency of government operations. There appears to be considerable scope for reducing duplication of functions and privatizing activities (such as agricultural extension services, where provision of fertilizer and transport could be taken over by private companies, and health and nutrition programs, which could be operated by nongovernmental organizations). The Kenyan authorities stated that a study of government functions, now being prepared with the assistance of the World Bank, would form the basis for the formulation of specific plans to rationalize the government structure; the plans will be prepared by March 1994.

4. Public enterprises

The Government has classified public enterprises into strategic and nonstrategic ones; the medium-term objective is to privatize all those classified as nonstrategic. Preparations will be expedited to ensure that at least 20 additional nonstrategic public enterprises (about 10 percent of the total) are divested by September 1994. In the early stages of the privatization program, the emphasis will be on enterprises that do not require further extensive operational, financial, or legal restructuring prior to sale. The enterprises targeted for privatization include Kenya Airways, Gilgil Telecommunications Manufacturing Facility (currently owned by the KPTC), at least two sugar factories, and all six cotton ginneries. The Government does not expect to incur losses from the sales of these corporations.

As regards strategic enterprises, targets have been set in the proposed program on the combined operating profit of four key enterprises, 1/ and

1/ In this list, the KPTC is replaced by Kenya Ports Authority. The KPTC will be included at the time of the midterm review, after the audit is completed in March 1994.

on these enterprises' liquid assets with banks (Table 8). These targets are supported by a range of measures to cut costs and enhance revenue. In particular, the Kenya Power and Lighting Corporation is expected to show a major improvement in its operating performance because of large increases in tariffs (to move toward long-term marginal cost pricing for electricity), and Kenya Ports Authority's performance will be strengthened by restraint on personnel and administration costs as well as tariff adjustments. All four public enterprises will undertake staff reductions.

A fundamental restructuring of the KPTC has been initiated, involving: (i) appointment of new management; (ii) initiation of an external audit; (iii) separation of postal and telecommunications operations of the Corporation, with a view to privatizing the latter; (iv) freeze on new investments until the restructuring plan is completed; (v) consolidation of the financial position (inter alia, by repaying outstanding arrears to the Treasury, and by avoiding any new external borrowing); (vi) reduction in the staff by 2,000 employees (7 percent) by March 1994 and 3,000 (10 percent) by September 1994; and (vii) conclusion of a performance contract with the Government by September 1994.

The operations of the NCPB are expected to be scaled back substantially. During the program period, the number of depots operated by the Board will be reduced by 24 percent. The number of depots will be reduced further by 38 percent (cumulative) by March 1995 and 52 percent by December 1995. This reduction will be achieved through withdrawal from the depots by the NCPB, which will then offer the depots for sale or lease. The NCPB's permanent staff will be reduced by at least 20 percent during the program period, in line with the scaling back of depots. Starting in 1994/95, the only budgetary transfer to NCPB will relate to the costs associated with the maintenance of the strategic maize reserve.

The Kenya authorities attach importance to a corporate governance code for public enterprises, which will be presented to Parliament by February 1994. This code is intended to strengthen the enterprises' autonomy and accountability, and will formalize an arm's length, owner-manager relationship between the Government and the strategic enterprises.

5. Monetary policy

The fundamental objective of monetary policy in the coming period is to bring about the desired sharp deceleration in inflation in the fourth quarter of 1993, followed by a sustained period of relative price stability, and to maintain the exchange rate at about the present level of K Sh 69-70 per U.S. dollar. The strategy, therefore, is to keep liquidity conditions very tight through the end of 1993, followed by some easing. Consistent with this strategy, no increase in broad money is envisaged in the fourth quarter of this year on a seasonally adjusted basis, followed by an increase of 14 percent (annualized rate) during January-September 1994 (Table 9).

This expansion in broad money would allow an increase in net domestic assets of the banking system of 6 percent (or K Sh 5.9 billion) over the period September 1993-September 1994. As already discussed, the Government is expected to make net repayments of K Sh 1.5 billion in the period. Bank credit to the other sectors is projected to increase by K Sh 9.2 billion, or 14 percent, broadly in line with nominal GDP growth.

The operational target for monetary policy will be the net domestic assets of the CBK. The increase in net domestic assets will be limited to K Sh 2.4 billion, or 6 percent, over the program period (Table 10). Net credit to the Central Government will be reduced slightly. An increase in advances and discounts to commercial banks of K Sh 3 billion is projected. Overnight advances will be allowed to expand, offset in part by the recovery of overdrafts owed by the closed banks.

The reserve money path was projected consistent with the net foreign assets targets and net domestic assets paths described above. Reserve money is projected to increase by 43 percent (seasonally adjusted annual rate) in the fourth quarter of 1993, reflecting largely CBK purchases of foreign exchange in the market and redemption of treasury bills. To ensure that this level of reserve money was consistent with the target on broad money, the statutory cash ratio was raised by 4 percentage points during the quarter. In effect, liquidity created through redemption of treasury bills is being absorbed through increases in the cash ratio.

The authorities are aware of the disintermediation effect of a high statutory cash ratio. To address this problem, market-related interest rates are paid on cash reserves held in excess of 10 percent. They also recognize that it is not ideal to use the statutory cash ratio for short-term monetary management. The authorities are currently developing repurchase agreements, or alternative instruments, that would allow the CBK to sell/buy its holdings of long-term government paper on a short-term basis. Once these instruments become available, they would be used for short-term monetary management, and the statutory cash ratio would be reduced. The repurchase agreements (or similar arrangement) will also be used to sterilize unanticipated liquidity injection arising from the foreign exchange flows of the CBK.

As discussed above, substantial net redemption of government securities is planned during the program period. Interest rates on treasury bills will be allowed to decline consistent with the programmed net redemption, provided that the rates remain significantly positive in real terms. Under the prevailing market conditions, this policy is expected to lead to interest rates of about 50 percent in December (net redemption from October to mid-November was broadly in line with the programmed amount, as the interest rate was allowed to decline from 76 percent in September to 50 percent in mid-November). The program assumes that interest rates would decline steadily to 30 percent by June 1994 and 20 percent by September 1994. The authorities were concerned about the impact of the present relatively high real interest rates on economic activity, but believed that the overriding

objective in the current phase of the adjustment process was to consolidate the stabilization gains.

The program includes measures to improve the structure of interest rates. In particular, commercial banks' interest rates have not adjusted to the substantial increases in treasury bill rates in the recent past. The authorities have made arrangements with one commercial bank to retail treasury bills through its extensive branch network, at a commission. This way, interest rates on treasury bills are expected to come down gradually while retail savings and lending rates will rise, resulting in a more efficient structure of interest rates in the economy.

6. Financial sector issues

The authorities indicated that the proposed program will include further measures to ensure a sound banking system, as follows: (i) restructuring of the National Bank of Kenya (NBK) through collection of bad debts and rebuilding of its deposit base, and sales of government shares of the bank to the public; (ii) rehabilitation of another commercial bank through capital injection, freeze on new loans, and collection of nonperforming loans; (iii) amendments of the CBK and Banking Acts to strengthen the role and independence of the CBK; and (iv) improvements in bank supervision, with technical assistance from the Fund. The staff noted that, above all, effective bank supervision would require a commitment at the political level to enforce existing regulations.

A major constraint to ensuring a sound financial sector stems from the present administration of justice, including ineffective prosecution of economic crimes as well as slow litigation of loan defaults. Efforts to reform the judiciary system are already underway through the establishment in August 1993 of task forces to review Kenya's criminal procedures code, including laws relating to companies, partnership, and receiverships. In addition, since 1992, special anticorruption units have been set up to investigate economic crime. The authorities plan to proceed further with judiciary reform, by improving the capacity of anticorruption units in the police force, the court system, and the timeliness of litigation.

7. External policies

The authorities consider it crucial to maintain the exchange rate close to the present level (of K Sh 69-70 per U.S. dollar) for the restoration of public confidence. At the present interest rates and the exchange rate, the CBK is purchasing a significant amount of foreign exchange. These market conditions are expected to continue over the next few months. Subsequently, with the turnaround in economic activity, a substantial increase in the demand for foreign exchange is anticipated. As the upturn in economic activity is expected to be accompanied by a reduction of inflationary pressures, the authorities believe that interest rates could decline and the relative stability of the exchange rate could be maintained, if necessary, with only modest sales of foreign exchange in the market.

Kenya's export competitiveness has been considerably enhanced over the last 12 months, with the large depreciation of the Kenya shilling. Over the 12-month period ending October 1993, the real effective exchange rate depreciated by 22 percent (Chart 7). Even with the projected inflation differential between Kenya and its trading partners, in September 1994 the real effective exchange rate would remain some 10 percent below the level two years earlier.

The present exchange system based on 50 percent export retention appears to be working well, and the recent unification of the exchange rate has removed a major distortion vis-à-vis exports that existed under the earlier dual exchange rate system. Moreover, all private sector imports will be financed in the market beginning January 1, 1994, as the CBK will no longer sell foreign exchange for oil imports. The authorities emphasized the need to ensure that a stable exchange system be firmly established under the current arrangements before proceeding with further liberalization, including a move to 100 percent export retention. They are determined to avoid a resurgence of instability and the consequent pressure for policy reversal, in the face of difficult social and economic conditions. Accordingly, they have decided to raise the retention rate to 100 percent of export earnings in April 1994.

The authorities intend to further encourage exports by removal of the existing anti-export bias. First, export taxes that currently apply to a limited number of raw materials and unprocessed products such as pulp, hides, and skins, will be eliminated by June 1994. These taxes are intended to promote domestic processing, instead of exporting in raw form, and the authorities found it necessary to allow some time for the affected industries to adjust to the new environment. Second, the authorities plan to abolish all export licenses maintained for food security, except maize, by March 1994. They will review export licensing for maize in July 1994. Export licensing, intended for national security (e.g., ammunition) and protection of environment (e.g., ivory) will be kept. Third, the operation of the duty/VAT remission scheme has been hampered by severe understaffing in the office of the Treasury that handles the scheme, as well as by complicated procedures for remission. These problems will be addressed through strengthening the staff, and the establishment of input-output coefficients for remission of duties on a product-by-product basis.

The program includes tariff reform, which aims at reducing the tariff structure and the level and dispersion of effective protection, while safeguarding government revenue. The number of tariff rates (including the zero rate) was reduced from ten to eight in the 1993/94 budget, and the objective is to further reduce the number of rates to four by July 1997. The goal is to at least reverse in the 1994/95 budget the tariff increase that was effected in September 1993, and to reduce the maximum rate to 30 percent by July 1997.

The staff welcomed the liberalization of restrictions on current payments. In May 1993, the CBK raised the indicative limits below which

transfers abroad of education fees, business travel, and rent could be made automatically by authorized dealers. Transfers in excess of these limits would be referred to the CBK, which would approve all bona fide payments expeditiously. The indicative limits are intended to help ascertain whether capital transactions are effected through payments reported as current transactions. In addition, the exchange rates were unified in October 1993. Following these actions, Kenya no longer maintains any exchange measures either under Article XIV or subject to Fund approval under Article VIII. The staff encouraged further liberalization for example by allowing resident foreign currency accounts or liberalizing certain capital account transactions.

8. External financing and payments arrears

At the end of September 1993, Kenya's external payments arrears amounted to US\$718 million, consisting of US\$535 million owed to bilateral creditors; US\$13 million to multilateral institutions; and US\$171 million to financial institutions, suppliers, and export credit agencies (Table 11). All private trade credit arrears had been cleared. Virtually all of the arrears to bilateral creditors are owed to those that normally participate in the Paris Club. In addition, most of the arrears to financial institutions and suppliers are believed to be guaranteed by creditor-government agencies. Therefore, almost all of the outstanding arrears could be considered in the Paris Club framework.

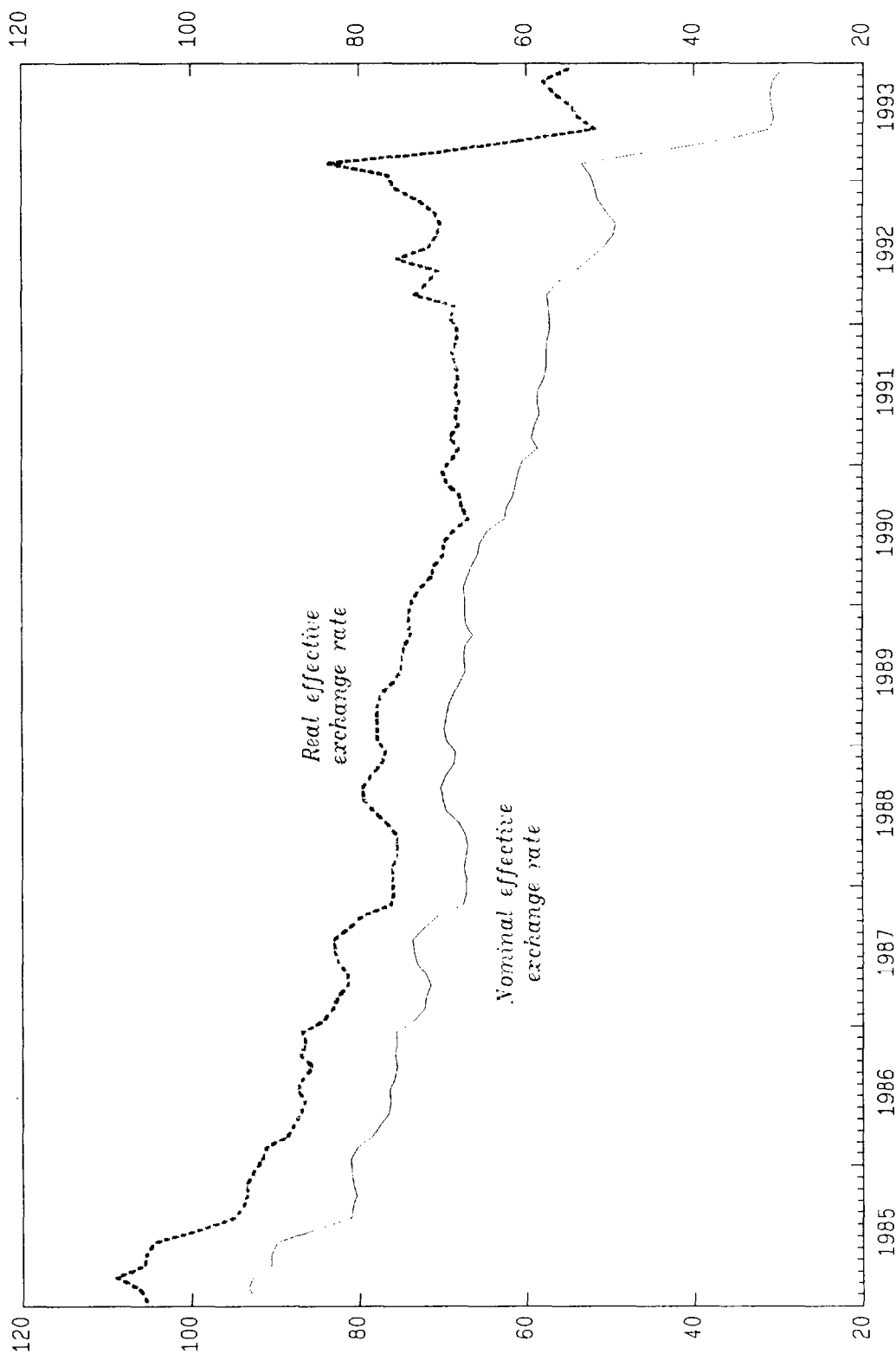
The program provides for reduction of arrears through minimum cash payment of SDR 13 million (US\$18 million) in the fourth quarter of 1993, and an additional SDR 29 million (US\$39 million) in 1994. The Kenyan Government has now requested a rescheduling of existing arrears (projected at about US\$700 million at end-December 1993), on nonconcessional terms. ^{1/} For the purpose of projecting financing requirements, it was assumed that about US\$660 million of outstanding arrears at end-December 1993 would be rescheduled, with a grace period of 2 years (1994-95) and repayment over the subsequent 3 years (1996-98), with the remainder to be settled in cash.

On the basis of these assumptions, total financing requirements for 1994 are projected at US\$1,215 million, consisting of the non-interest current account deficit, scheduled debt service payments, settlement of arrears, and the targeted increase of international reserves, net of a small surplus on private short-term capital transactions (Table 12). Disbursements in 1994 from existing commitments are projected at US\$354 million. At the Consultative Group meeting held during November 22-23, 1993, new commitments of about US\$880 million were pledged. Disbursements from these commitments in 1994 are conservatively projected at US\$200 million, of which

^{1/} In the letter of intent, rescheduling was one of the options for settlement of external payments arrears. The authorities decided to seek multilateral rescheduling in light of the outcome of the Consultative Group meeting.

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CHART 7
KENYA
NOMINAL AND REAL EFFECTIVE EXCHANGE RATE INDICES, 1985-93. 1/
(1980=100)



Sources: IMF, Information Notice System.

1/ Based on official exchange rate.

US\$170 million is assumed to be in the form of general balance of payments support. The remaining gap would amount to some US\$690 million, which could be met with a rescheduling of arrears and the proposed ESAF resources.

9. Domestic deregulation

Some simplification of investment procedures had been achieved with the establishment of the one-stop Investment Promotion Centre. However, procedures for trade licensing remain complicated, with licenses being given for only one year at a time. There are a large number of fees and licenses at the municipal level and land for industrial purposes is scarce, constraining industrial development in urban centers. Moreover, access by foreign-owned companies to domestic credit markets is restricted. The program addresses these issues, to promote a strong private investment response.

The authorities explained that, given the poor crop expected this year, severe shortages of maize could develop if adequate imports were not secured. If shortages developed, and if the prices and marketing of maize had been fully decontrolled at that time, a socially untenable situation could arise and strong pressures for reintroduction of some controls could mount. Thus, the authorities stressed that full maize decontrol should take place in the middle of next year when the new crop comes on the market. In the meantime, consumer prices on maize would be adjusted, if necessary, so as not to interfere with the effective distribution of maize by private traders. Concerning other agricultural products, the Government will withdraw from agricultural processing, such as sugar refineries and cotton ginneries, to allow the private sector to expand into these activities.

The Kenyan authorities intend to liberalize petroleum prices and create a competitive market for petroleum products as soon as practical. The oil companies stressed that to ensure an orderly transition to a liberalized market, several issues would have to be addressed before the liberalization. It would be necessary to establish an appropriate legal framework, as well as security and safety standards. Also, the Government and the private shareholders would have to decide whether to close the Kenya Petroleum Refinery or to rehabilitate it. A task force has been established to complete the necessary preparatory steps, and the Government has announced that the marketing and pricing of petroleum products will be fully liberalized in July 1994.

The authorities expressed their commitment to liberalize all prices by July 1994. Currently, in addition to petroleum products, the General Price Control Order covers only one product category (certain pharmaceuticals). The Specific Price Control Order covers one category (maize and maize flour).

10. Social and environmental issues

The authorities' policies to protect vulnerable population groups in the adjustment phase include: (i) a program to alleviate the adverse impact of the maize liberalization on the poor; (ii) the maintenance of a minimum level of strategic maize stock and a hard currency reserve by the CBK; and (iii) programs to assist laid-off civil servants. Those laid off as part of civil service reform will be assisted through pensions, terminal benefits, and direct support for retraining. The purpose of the terminal benefits and retraining schemes is to assist the laid-off civil servants in starting their own small-scale businesses or finding alternative employment in the private sector. The staff supported these initiatives, stressing the need to ensure that they do not compromise budgetary adjustment.

As part of its development of a comprehensive approach to managing Kenya's environment, the Government started the preparation of a National Environment Action Plan (NEAP) in June 1993. The NEAP will provide the basis for identifying priority actions and public investments to address environmental issues. The staff supported this effort, which should be directed toward fostering sustainable growth in the Kenyan economy.

11. Performance criteria, benchmarks, and review

The program features quantitative performance criteria for end-March 1994 and benchmarks for end-December 1993, end-June 1994, and end-September 1994 relating to the following variables: (i) central government budget deficit (on a commitment basis and excluding grants); (ii) net domestic assets of the CBK, with a subceiling on net credit to the Central Government; (iii) combined operating profit of selected public enterprises; (iv) combined liquid assets of selected public enterprises; (v) net international reserves of the CBK; (vi) contraction of new nonconcessional external borrowing by the Government or guaranteed by the Government of 1-15 years' maturity, with a subceiling on such borrowing of 1-5 years' maturity; (vii) change in the stock of short-term external debt contracted or guaranteed by the Government; and (viii) cash payments for reducing the stock of external payments arrears (Table 13).

In addition, structural benchmarks under the arrangement comprise: (i) maintenance of positive real interest rates; (ii) full decontrol of maize prices and movement (to be announced in March 1994 and to become effective on July 1, 1994); (iii) full decontrol of marketing and pricing of petroleum products; (iv) reduction in civil service positions; (v) reduction of the depot network and staff of the NCPB; and (vi) increase in the export retention rate to 100 percent (Table 14). The structural benchmarks relating to maize decontrol, petroleum decontrol, and exchange liberalization constitute performance criteria. Disbursement of the second installment under the arrangement will also be contingent on the completion of the midterm review, scheduled for completion no later than end-July 1994.

IV. Medium- and Long-Term Balance of Payments Outlook and Capacity to Repay the Fund

Medium- and long-term balance of payments prospects were assessed on the basis of the following assumptions: (i) export volume growth would average about 7 percent in 1994-96, and stabilize at about 5 percent annually thereafter; (ii) import volume would grow by 9 percent per year in 1994-96, following the severe import compression in 1990-93, and stabilize at about 6 percent annually thereafter, in line with real GDP growth; (iii) the terms of trade would improve somewhat in 1995 and 1996; and remain unchanged in the subsequent period; and (iv) tourism receipts would grow by about 5 percent in volume terms annually (Chart 8). On the basis of these assumptions, the current account deficit (excluding official transfers) is projected to decline from US\$100 million (1.5 percent of GDP) in 1994 to US\$64 million (0.8 percent of GDP) in 1996, and to fluctuate in the range of 0.8-1.0 percent of GDP from 1996 onward (Table 15).

The capital account surplus is projected to gradually increase from US\$50 million in 1995, except that in 1996-98 there will be substantial deficits relating to the repayment of rescheduled external payments arrears. The projected disbursements of official loans and grants take into account new project assistance that might be expected under normal conditions, but not balance of payments assistance that could be pledged in future Consultative Group meetings. On this basis, the projected disbursements broadly match the amortization payments on official debt, except payments relating to rescheduled arrears. Private net inflows are projected at about US\$50 million in 1995 and to grow steadily, reflecting in part higher import financing.

Taking into account the targeted increase in gross international reserves of the CBK (to 3.0 months of imports by end-2004), a financing gap of about US\$150 million is projected for 1995, and US\$300 million for 1996-98. While the pledges of financial support obtained at the last Consultative Group meeting will contribute significantly to covering these gaps, Kenya will need to sustain a strong adjustment effort over the medium term.

Outstanding medium- and long-term external debt (including Fund credit) is projected to decline steadily from 97 percent of GDP in 1994 to 40 percent of GDP in 2004. The debt service ratio would decline from 25.8 percent of exports of goods and nonfactor services in 1994 to 12.6 percent in 2004.

In order to assess the sensitivity of the above analysis, an alternative scenario was developed. The alternative scenario assumes significantly lower export volume growth (on average by 1.2 percentage points annually), somewhat lower import volume growth, and less favorable terms of trade (no improvement from 1995 onward). Under this scenario, the current account deficit would remain at about 1.4 percent of GDP over the medium and long term, or about 0.5 percent of GDP higher than under the baseline scenario. A small financing gap of US\$20-50 million would remain in 1999-2003. The

magnitude of these financing gaps is such that they could be closed by additional external assistance and a strengthening of economic policies without undue difficulty and, thus, the alternative scenario should not alter the assessment of Kenya's medium- and long-term balance of payments outlook.

Kenya has repaid the Fund promptly despite the foreign exchange shortage over the last two years. In 1992, Kenya paid debt service to the Fund equivalent to 53.5 percent of gross reserves, or 4.4 percent of exports of goods and nonfactor services; in 1993, the corresponding figures were 27.7 percent and 3.0 percent, respectively. In comparison, during the ESAF repayment period (up to 2004), debt service to the Fund would peak at only 15.2 percent of gross official reserves and at 2.2 percent of exports of goods and nonfactor services in 1997 (Table 16). The above balance of payments analysis and Kenya's excellent payment record to the Fund suggest that Kenya should be able to meet its debt service obligations to the Fund in a timely manner.

V. Staff Appraisal

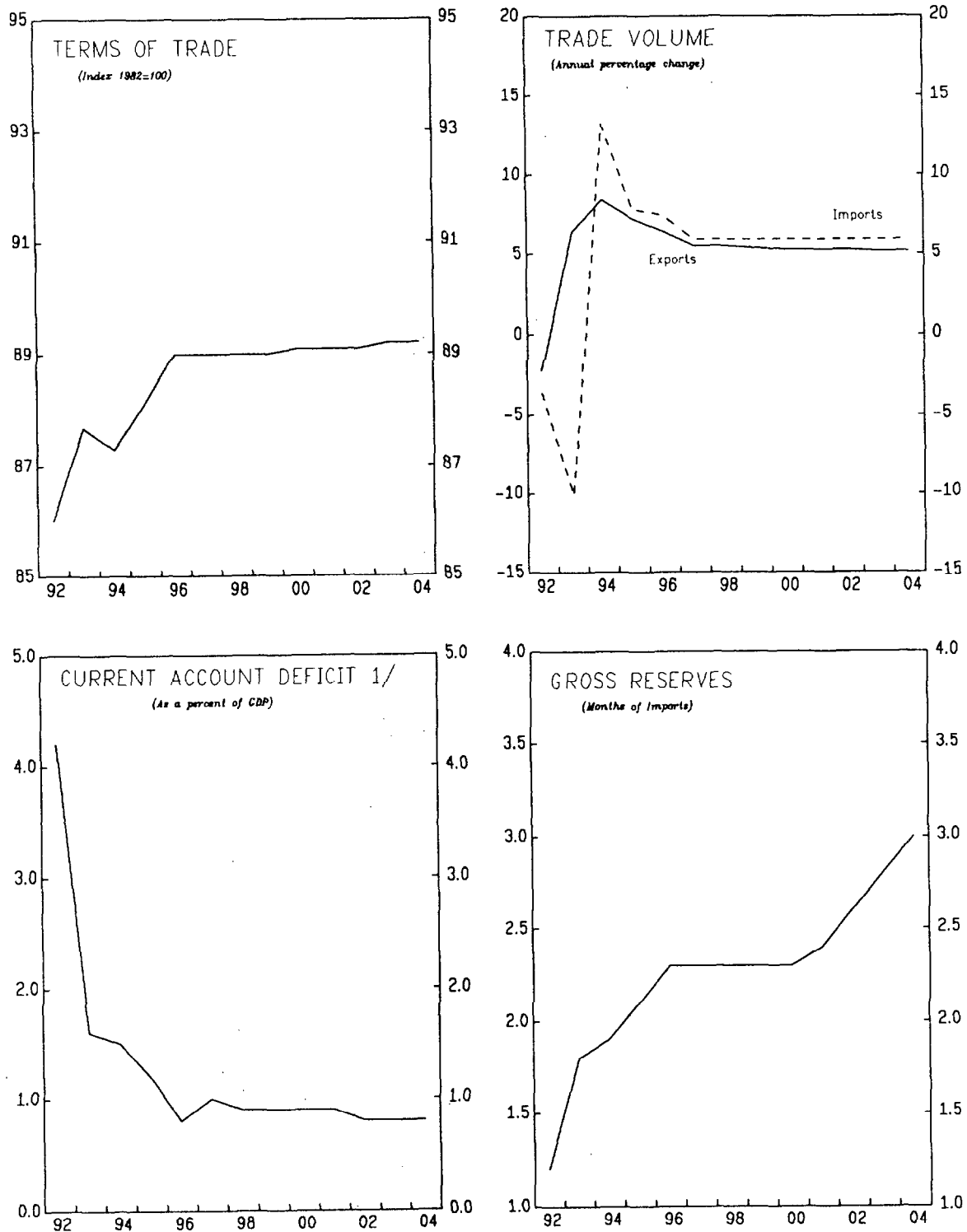
Following an extended period of relatively favorable economic developments, Kenya experienced a sharp deterioration in economic conditions beginning in late 1991, and culminating in an economic crisis in early 1993. The drought, the less buoyant world economy, the unsettled political and social climate during the democratization process, and the suspension of balance of payments assistance by bilateral donors, all contributed to the downturn in the Kenyan economy. Without minimizing the importance of those factors, the staff would nonetheless assign the key role in Kenya's difficulties to the mismanagement of public financial institutions, and the associated misallocation of public funds. Given the extent of these weaknesses, severe macroeconomic instability emerged.

Since May of this year, the Kenyan authorities have taken decisive measures to help restore financial discipline. Four major commercial banks have been closed; a new management team is now in place at the Central Bank of Kenya; foreign exchange allocation and import controls have been abolished; and reform of two major public institutions--one financial and one nonfinancial--is under way, first through the replacement of their management teams and second through the decision to privatize these organizations. The staff commends the authorities on these actions, and urges them to send, through additional strong actions, an unequivocal message to the public and the international community that financial responsibility is now the guiding principle. Comparable efforts will also be required to resolve the ethnic tensions and foster good governance. These actions are critical prerequisites for returning Kenya to a sustainable economic development path.

Turning to the economic policy agenda for the period ahead, the staff believes that the highest priority is to bring inflationary pressures under control, maintain a stable exchange rate, and further augment foreign

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CHART 8
 KENYA
 MEDIUM- & LONG-TERM BALANCE OF PAYMENTS, 1992-2004



Source: Data provided by the Kenyan authorities; and staff estimates.

1/ Excluding grants.

exchange reserves. Although the present level of interest rates may be seen to be somewhat high in the face of the recent decline in inflation, it needs to be maintained in the near future, and interest rates should be permitted to decline only after it has become evident that inflation expectations have been arrested. While auctions of new issues of treasury bills and open market sales will continue to be the primary instruments to hold interest rates at an appropriately high level, the monetary policy arsenal could be diversified by developing a new instrument that would allow sales of CBK holdings of long-term Treasury securities on a short-term basis.

Also on the priority list is the need to raise the productivity of budgetary outlays and to reduce the fiscal deficit. This will require not only a reduction in the share of government expenditures in GDP, but also an increase in the quality of budgetary outlays. The latter involves civil service retrenchment, the elimination of subsidies, the removal of direct and indirect payments to public enterprises, while at the same time increasing expenditures on operations and maintenance, productive development outlays, and well-targeted safety net programs. Strict monitoring of spending by individual ministries, and disciplinary actions against those officials who do not comply with the expenditure guidelines, are essential for the required improvement in fiscal performance.

Greater discipline is also needed in the public enterprise sector. The adoption of an appropriate corporate governance code, reinforced by directives from the highest level and close monitoring of performance by the Ministry of Finance, should go a long way toward meeting this goal. Beyond this, the privatization of public enterprises should be accelerated, and pursued with greater vigor. The recent decision of the authorities to fundamentally restructure a major public enterprise under new management is laudable, and should send the right signal to other public enterprise managers.

Finally, there is an urgent need to eliminate excessive interference in the agricultural sector, to complete price decontrol, and to push forward with domestic deregulation. In this respect, the staff attaches particular importance to the planned full decontrol of maize prices and restrictions on maize movement. Also important is the timely, full liberalization of marketing and pricing of the petroleum sector.

The staff welcomes the recent liberalization of exchange restrictions as well as the authorities' intention to increase the retention of foreign exchange by exporters to 100 percent shortly. It urges them to regularize the relations with the creditors as soon as possible through prompt settlement of external payments arrears. The staff also encourages them to consider further measures toward a liberal exchange system, including establishment of resident foreign currency accounts and liberalization of capital transactions.

The Kenyan authorities have proposed a one-year program, in support of which a one-year ESAF arrangement is requested. Their request is buttressed by the record of economic management over the past several months, including the pursuit of a tight monetary policy, the restoration of stability in the financial system, the introduction of a market-based exchange system, and the steps taken to liberalize the maize marketing system. The proposed program features: (i) cuts in government expenditure and a considerable reduction in the government budget deficit, and strict limitations on domestic borrowing by the Government; (ii) rationalization of central government operations to improve the efficiency of public services, combined with a major reduction in the number of civil servants; (iii) enforcement of strict financial discipline in the operations of several major public enterprises and privatization of a number of others; (iv) tight monetary policy to maintain positive real interest rates throughout the program period; (v) further measures to help ensure the soundness of the banking system; (vi) substantial further deregulation of the economy, covering the petroleum sector, investment regulations, the few remaining price controls, and agricultural marketing; and (vii) a range of measures to enhance the incentives to export.

The staff considers that the proposed program is appropriate, and that, if fully implemented, the program will contribute substantially to sustained economic growth, external viability, and a stable macroeconomic environment. The staff urges the authorities to be vigilant in ensuring full implementation of the program. Policy reversals observed in the recent past should be avoided. The staff has been encouraged by the authorities' commitment to the adjustment effort, as reflected in the recent actions, and supports the authorities' request for an ESAF arrangement.

It is proposed that Kenya remain on the standard 12-month Article IV consultation cycle.

VI. Proposed Decision

The following draft Decision is proposed for adoption by the Executive Board.

Kenya - Request for One-Year ESAF Arrangement

1. The Government of Kenya has requested a one-year arrangement under the enhanced structural adjustment facility.
2. The Fund notes Kenya's policy framework paper for 1994-96 (EBD/93/176, 11/17/93).
3. The Fund approves the arrangement set forth in EBS/93/191.

Kenya - Enhanced Structural Adjustment Facility
One-Year Arrangement

Attached hereto (see EBS/93/181, 11/17/93) is a letter with an annexed Memorandum on Economic and Financial Policies dated November 16, 1993 from the Minister for Finance and the Governor of the Central Bank of Kenya requesting from the International Monetary Fund a one-year arrangement under the enhanced structural adjustment facility, and setting forth the objectives and policies of the program to be supported by the one-year arrangement.

To support these objectives and policies, the Fund grants the requested arrangement in accordance with the following provisions, and subject to the Regulations for the administration of the structural adjustment facility and the Instrument to establish the Enhanced Structural Adjustment Facility Trust:

1. (a) For a period of one year from December 22, 1993, Kenya will have the right to obtain loans from the Fund under the enhanced structural adjustment facility, in a total amount equivalent to SDR 45.230 million. This amount shall be provided from the Enhanced Structural Adjustment Facility Trust.

(b) (i) The first loan, in an amount equivalent to SDR 22.615 million, will be available on [date] 1993, at the request of Kenya; and

(ii) the second loan, in an amount equivalent to SDR 22.615 million, will be available on [July 31], 1994, at the request of Kenya subject to paragraph 2 below.

2. Kenya will not request disbursement of the second loan specified in paragraph 1(b)(ii) above,

(a) if the Managing Director finds that the data at the end of March 1994 indicate that:

- (i) the limit on the central government budget deficit (on a commitment basis, excluding grants), or
- (ii) the limit on net domestic assets of the Central Bank of Kenya, or
- (iii) the limit on net bank credit to the Central Government from the Central Bank of Kenya, or
- (iv) the target on the net international reserves of the Central Bank of Kenya, or

- (v) the limits on new external loans on nonconcessional terms contracted or guaranteed by the Government in the maturity ranges of 1-5 years and 1-15 years, or
- (vi) the limit on the increase in short-term external debt of the Government, or
- (vii) the target for the reduction of total external payments arrears through cash payment

referred to in paragraph 36, and specified in Table 1 of the annexed memorandum is not observed, or

(b) if the intention

- (i) to fully decontrol pricing and movement of maize not later than March 31, 1994, or
- (ii) to fully decontrol the marketing and pricing of petroleum products not later than July 1, 1994, or
- (iii) to increase the ratio for the retention of foreign exchange by exporters to 100 percent of export earnings, not later than April 30, 1994,

referred to in paragraph 36 of the annexed memorandum, and specified in Table 2 of the annexed memorandum, has not been carried out, or

(c) if Kenya

- (i) imposed or intensified restrictions on payments and transfers for current international transactions, or
- (ii) introduced or modified multiple currency practices, or
- (iii) concluded bilateral payments agreements which are inconsistent with Article VIII, or
- (iv) imposed or intensified import restrictions for balance of payments reasons, or

(d) until the Fund has determined that the midterm review of Kenya's program referred to in paragraph 5 of the attached letter and paragraph 37 of the annexed memorandum has been completed.

If the Managing Director finds that any of the performance clauses that have been established in or under this paragraph 2 have not been met, the second loan specified in paragraph 1(b)(ii) above may be made available only after consultation has taken place between the Fund and Kenya, and understandings have been reached regarding the circumstances in which Kenya may request that second loan.

3. In accordance with paragraph 3 of the attached letter, Kenya will provide the Fund with such information as the Fund requests in connection with the progress of Kenya in implementing the policies and reaching the objectives supported by this arrangement.

4. In accordance with paragraph 4 of the attached letter, during the period of this arrangement, Kenya will consult with the Managing Director on the adoption of any measures that may be appropriate at the initiative of the Government or whenever the Managing Director requests such consultation. Moreover, after the period of the arrangement and while Kenya has outstanding financial obligations to the Fund arising from loans under that arrangement, Kenya will consult with the Fund from time to time, at the initiative of the Government or whenever the Managing Director requests consultation on Kenya's economic and financial policies. These consultations may include correspondence and visits of Fund staff to Kenya or of representatives of Kenya to the Fund.

Table 1. Kenya: Use of Fund Credit, October 1993-December 1994

	Outstanding October 31, 1993	1993 Nov.- Dec.	1994 Jan.- Mar.	April- June	July- Sept.	Oct.- Dec.
(In millions of SDRs)						
Total transactions (net)	...	20.66	-2.84	--	19.78	-2.13
Disbursements <u>1/</u>	...	22.62	--	--	22.62	--
Repurchases/repayments	...	1.96	2.84	--	2.84	2.13
Ordinary	...	1.96	--	--	--	--
SAF	...	--	2.84	--	2.84	2.13
ESAF	...	--	--	--	--	--
Total Fund credit outstanding <u>2/</u>	243.69	264.35	261.51	261.51	281.29	279.16
Under tranche policies	1.96	--	--	--	--	--
Under SAF	25.56	25.56	22.72	22.72	19.88	17.75
Under ESAF	216.17	238.79	238.79	238.79	261.41	261.41
(In percent of quota)						
Total Fund credit outstanding <u>2/</u>	122.2	132.6	131.1	131.1	141.1	140.0
Under tranche policies	1.0	--	--	--	--	--
Under SAF	12.8	12.8	11.4	11.4	10.0	8.9
Under ESAF <u>2/</u>	108.4	119.8	119.8	119.8	131.1	131.1

Sources: IMF, Treasurer's Department; and staff estimates.

1/ ESAF resources.

2/ End of period; includes use of ESAF Trust resources.

Table 2. Kenya: Selected Economic and Financial Indicators, 1989-94

	1989	1990	1991	1992	1993	1994
			ESAF	Act. Policy frame.	Est. Prog.	Prog.
<u>(Annual percent changes, unless otherwise specified)</u>						
National income and prices						
GDP at constant prices (factor cost)	5.0	4.4	4.0	2.3	2.0	0.4
Consumer prices						
Annual average	13.5	15.7	12.0	19.6	18.0	27.3
End period	13.6	20.1	...	14.5	...	33.7
External sector (on basis of SDRs)						
Exports, f.o.b.	-4.7	3.9	2.4	-4.2	11.7	-3.2
Imports, c.i.f.	14.3	-4.6	-3.3	-15.1	8.9	-7.8
Non-oil imports, c.i.f.	12.7	-10.4	0.5	-14.4	12.8	-9.7
Export volume	-2.8	8.1	0.9	-3.5	10.9	-2.2
Import volume	5.8	-14.1	-1.5	-8.9	9.9	-3.6
Terms of trade (deterioration -)	-10.9	-9.9	3.5	14.8	1.4	5.5
Nominal effective exchange rate (depreciation -) <u>1/</u>	-1.6	-9.6	...	-6.1	...	-9.3
Real effective exchange rate (depreciation -) <u>1/</u>	-3.7	-5.4	...	-2.7	...	11.4
Government budget <u>2/</u>						
Revenue	14.7	12.3	19.3	19.6	13.8	18.9
Total expenditure	16.9	16.2	5.6	7.9	6.5	45.7
Money and credit						
Net domestic assets of CBK	1.0	24.4	...	19.9	...	48.9
Reserve money	17.0	21.8	...	15.7	...	42.9
Interest rate (annual rate) <u>4/</u>						
Treasury bills	14.0	15.0	...	16.5	...	16.6
<u>(In percent of GDP)</u>						
Government budget <u>2/</u>						
Revenue	23.0	23.3	23.4	23.7	22.2	22.1
Expenditure and net lending	29.6	31.0	27.6	28.4	25.8	32.5
Overall deficit						
Excluding grants	6.6	7.7	4.2	4.8	3.6	10.4
Including grants	4.2	5.7	1.9	2.9	2.0	9.2
Gross domestic investment	25.2	23.9	23.6	20.8	18.0	16.1
Gross national saving	17.7	18.7	19.0	17.6	14.6	14.5
External current account deficit (+)						
Including grants	7.6	5.2	4.6	3.2	3.4	1.6
Excluding grants	10.5	7.5	7.1	5.7	5.5	4.2
External debt						
External debt inclusive of Fund credit <u>5/</u>	58.8	57.8	...	66.9	59.0	69.0
Debt service ratio <u>6/</u>	31.1	32.5	28.0	30.5	31.0	32.9
Interest payments <u>6/</u>	11.0	12.0	10.0	10.7	11.0	10.8
<u>(In millions of SDRs, unless otherwise specified)</u>						
Overall balance of payments	52	-86	-45	-233	-73	-154
Gross official reserves (months of imports)	1.7	1.4	1.4	1.1	1.0	1.2
External payments arrears <u>7/</u>	--	--	--	178	--	451

Sources: Data provided by the Kenyan authorities; and staff estimates.

1/ December-to-December variations in official exchange rate.

2/ Fiscal year beginning July 1; on a commitment basis.

3/ Change in the 12-month period ending September.

4/ Level in percent.

5/ In percent of GDP.

6/ In percent of exports of goods, nonfactor services, and private transfers.

7/ Stock of arrears outstanding at end of period.

Table 3. Kenya: Performance Under Macroeconomic Framework, Through September 1993

	September 1993	
	Benchmarks	Outcome
(In millions of Kenya shillings)		
I. <u>Quantitative Benchmarks</u>		
Central government budget deficit <u>1/</u>	14,791 <u>2/</u>	13,063
Net domestic assets of the CBK	43,950 <u>2/ 3/</u>	42,938
Of which: net credit to Central Government	(52,950) <u>2/ 3/</u>	(26,888)
Combined operating loss (-) of selected public enterprises <u>1/ 4/</u>	-381	2,962
Combined bank overdraft (+) of selected public enterprises <u>4/</u>	1,113	-109
(In millions of SDRs)		
Net international reserves of the CBK	-122 <u>2/</u>	-110
Contraction of new nonconcessional borrowing of 1-15 years' maturity by public sector or guaranteed by public sector <u>5/</u>	50	--
Of which: 1-5 years' maturity <u>5/</u>	(5) <u>2/</u>	(--)
Change in stock of short-term external debt of public sector or guaranteed by public sector <u>6/</u>	--	--
External payment arrears	520 <u>2/</u>	513
II. <u>Structural Benchmarks</u>	<u>Timing</u>	<u>Outcome</u>
Maintenance of positive real interest rates	Quarterly	Achieved
Increase in export retention ratio to 100 percent	September 1993	Not achieved
Unification of market and official exchange rate	December 1993	October 1993
Price decontrol		
Beer and packaging materials	June 1993	June 1993
Maize	July 1993	Not achieved
Petroleum prices	September 1993	Not achieved

1/ Cumulative from July 1, 1993.

2/ Revised target.

3/ Adjusted for delay in disbursement of second tranche of World Bank Education Sector Adjustment Credit.

4/ Kenya Power and Lighting Corporation, Kenya Railways, Kenya Posts and Telecommunications Corporation, and National Cereals and Produce Board.

5/ Cumulative from January 1, 1993.

6/ Cumulative from May 1, 1993.

Table 4. Kenya: Central Government Fiscal Operations, 1989/90-1994/95

	1989/90	1990/91	1991/92	1992/93	1993/94 Prog.	1994/95 Prog.
(In millions of Kenya shillings)						
Revenue and grants	47,232	53,639	63,217	73,603	99,030	113,382
Revenue	42,887	49,474	58,580	69,661	93,138	108,292
Tax revenue	35,875	41,896	47,306	57,608	80,278	93,250
VAT	12,807	15,388	18,660	22,143	27,604	...
Income tax	11,983	14,262	17,026	19,959	25,562	...
Import duty	6,036	6,378	5,018	7,139	16,055	...
Excise tax and other	5,049	5,868	6,602	8,367	11,057	...
Nontax revenue	7,012	7,578	11,274	12,053	12,860	15,042
Grants	4,345	4,165	4,637	3,942	5,892	5,090
Expenditure and net lending	55,142	65,486	70,345	102,460	117,792	121,757
Recurrent expenditure	41,782	50,243	57,026 ^{1/}	84,118 ^{2/}	98,141	97,157
Wages and allowances	11,512	12,705	21,464	26,910	34,440	36,162
Interest payments	10,004	14,294	15,059	34,425	41,965	34,113
Other recurrent	20,266	23,244	20,503	22,783	21,736	26,882
Development expenditure and net lending	13,360	15,603	13,319	18,342	19,651	24,600
Overall deficit (commitment basis, excluding grants)	-12,255	-16,372	-11,765	-32,799	-24,654	-13,465
Overall deficit (commitment basis, including grants)	-7,910	-12,207	-7,128	-28,857	-18,762	-8,375
Adjustment to cash basis	-388	-2,524	--	5,116 ^{3/}	-19,935 ^{4/ 5/}	--
Overall cash deficit (excluding grants)	-8,298	-14,731	-7,128	-23,741	-38,697	-8,375
	-12,643	-18,896	-11,765	-27,683	-44,589	-13,465
Financing	8,298	14,731	7,128	23,741	38,697	8,375
Foreign financing	6,024	4,130	230	6,360	-20,427 ^{4/ 6/}	-925
Exceptional financing	--	--	--	--	43,546 ^{4/}	--
Domestic financing	2,274	10,601	6,898	17,381	9,078	--
Financing gap ^{7/}	--	--	--	--	6,500	9,300
(In percent of GDP)						
Revenue and grants	25.3	25.2	25.6	23.4	24.7	24.4
Revenue	23.0	23.3	23.7	22.1	23.2	23.3
Tax revenue	19.2	19.7	19.1	18.3	20.0	20.1
VAT	6.9	7.2	7.5	7.0	6.9	...
Income tax	6.4	6.7	6.9	6.3	6.4	...
Import duty	3.2	3.0	2.0	2.3	4.0	...
Excise tax and other	2.7	2.8	2.7	2.7	2.8	...
Nontax revenue	3.8	3.6	4.6	3.8	3.2	3.2
Grants	2.3	2.0	1.9	1.3	1.5	1.1
Expenditure and net lending	29.6	31.0	28.4	32.5	29.4	26.2
Recurrent expenditure	22.4	23.6	23.1	26.7	24.5	20.9
Wages and allowances	(6.2)	(6.0)	(8.7)	(8.5)	(8.6)	7.8
Interest payments	(5.4)	(6.7)	(6.1)	(10.9)	(10.5)	7.4
Other recurrent	10.9	10.9	8.3	7.2	5.4	5.8
Development expenditure and net lending	7.2	7.3	5.4	5.8	4.9	5.3
Overall deficit (commitment basis excluding grants)	-6.6	-7.7	-4.8	-10.4	-6.1	-2.9
Overall deficit (commitment basis including grants)	-4.2	-5.7	-2.9	-9.2	-4.7	-1.8
Overall cash deficit	-4.4	-6.9	-2.9	-7.5	-9.7	-1.8
Foreign financing	3.2	1.9	0.1	2.0	-5.1	-0.2
Exceptional financing	--	--	--	--	10.9	--
Domestic financing	1.2	5.0	2.8	5.5	2.3	--
Financing gap	--	--	--	--	1.6	2.0

Sources: Data provided by the Kenyan authorities; and staff estimates.

^{1/} Reflects an increase in pending bills of K Sh 3,685 million for 1991/92.

^{2/} Includes unidentified expenditure of K Sh 107 million.

^{3/} The adjustment reflects an increase in foreign interest arrears of K Sh 5,009 million, and an increase in the check float of K Sh 107 million.

^{4/} Assumes that a cash payment of K Sh 2,666 million will be made in 1993/94 for partial settlement of arrears. Exceptional financing would be obtained to clear the rest of foreign interest arrears (K Sh 18,485 million) and arrears on principal (K Sh 27,727 million).

^{5/} Also assumes a reduction in the check float of K Sh 1,450 million.

^{6/} IMF program includes IDA EDSAC II (SDR 60.7 million) and Japanese EDP cofinancing (SDR 53.6 million) by December 1993, IDA EDSAC III (SDR 25 million) and IDA reflow (SDR 31.4 million) by March 1994, and AfDB EDP cofinancing (SDR 14.3 million) by June 1994.

^{7/} This table has not been adjusted for the financing pledges made following the Consultative Group meeting of November 1993 pending clarification of the timing of disbursements.

Table 5. Kenya: Medium-Term Balance of Payments, 1990-96

	1990	1991	1992	1993	1994	1995	1996
	Actual			Projected			
(In millions of U.S. dollars)							
Current account	-659	-461	-356	-98	-100	-87	-64
Exports, f.o.b.	1,008	975	974	1,046	1,153	1,270	1,388
Coffee	193	159	129	162	186	214	240
Tea	298	278	297	320	338	367	400
Oil products	59	75	69	62	64	66	67
Other	458	462	479	502	564	624	682
Imports, c.i.f.	-2,305	-1,973	-1,880	-1,674	-1,898	-2,063	-2,239
Government	-195	-147	-92	-80	-80	-86	-91
Oil	-465	-384	-397	-353	-372	-387	-409
Other	-1,645	-1,442	-1,391	-1,240	-1,445	-1,590	-1,739
Trade balance	-1,297	-999	-906	-628	-745	-793	-851
Services (net)	471	394	481	409	460	496	576
Of which: interest payments	(-294)	(-249)	(-241)	(-235)	(-237)	(-256)	(-230)
Private transfers	167	144	69	121	185	211	212
Capital Account	543	143	137	266	170	44	-150
Official transfers	205	204	225	137	111	112	115
Long-term capital inflows (net)	177	129	-147	74	27	-99	-296
Official	154	89	-131	55	7	-118	-316
Inflows	551	508	278	436	414	261	259
Outflows	-396	-419	-409	-380	-407	-379	-575
Private	23	40	-16	19	20	20	21
Short-term capital inflows (net) 1/	160	-190	59	54	32	30	30
Overall balance	-116	-319	-218	168	70	-43	-215
Financing	116	319	218	-168	-70	43	215
Gross reserves	82	82	7	-70	-50	-69	-58
IMF credit (net)	33	8	-83	-62	-14	-36	-58
Other assets (net)	--	-15	--	--	--	--	--
Commercial bank reserves (net)	--	--	-93	-134	--	--	--
Accumulation of arrears	--	244	387	68	-695	--	--
Exceptional financing	--	--	--	32	688	148	330
Memorandum items:							
Gross reserves (end of period)	270	188	181	252	300	368	425
Gross reserves in months of total imports	1.4	1.1	1.2	1.8	1.9	2.1	2.3
Stock of arrears	--	255	627	695	--	--	--
Debt service ratio 2/	32.5	30.5	32.9	29.6	25.8	24.1	28.9
(In percent of GDP)							
Current account deficit							
Including official transfers	5.2	3.2	1.6	-0.6	-0.2	-0.4	-0.7
Excluding official transfers	7.5	5.7	4.2	1.6	1.5	1.2	0.8
Net official capital inflows plus official transfers 3/	4.1	3.6	1.1	3.5	12.3	2.0	1.7

Sources: Data provided by the Kenyan authorities; and staff estimates and projections.

^{1/} Includes errors and omissions.

^{2/} In percent of exports of goods and nonfactor services.

^{3/} Includes financing below the line.

Table 6. Kenya: Medium-Term Adjustment Framework, 1990-96

(In percent, unless otherwise noted)	1990	1991	1992	1993	1994	1995	1996
	Actual			Est.	Projections		
Real GDP growth (factor cost)	4.4	2.3	0.4	0.2	3.0	5.0	6.0
Inflation (CPI) <u>1/</u>							
Annual average	15.7	19.6	27.3	46.1	24.0	7.5	7.5
End-period	20.1	14.5	33.7	54.4	10.0	7.5	7.5
Gross national saving/GDP	18.7	17.6	14.5	17.6	19.1	22.3	24.6
Gross investment/GDP	23.9	20.8	16.1	17.0	19.0	22.0	23.9
Fixed capital formation	20.4	18.9	15.8	16.8	17.0	19.0	20.9
Central Government	4.5	3.3	2.9	3.0	3.2	3.5	3.5
Other	15.9	15.6	12.9	13.8	13.8	15.5	17.4
Change in stocks	3.5	1.9	0.3	0.2	2.0	3.0	3.0
Change in net domestic assets of CBK <u>2/</u>	24.4	19.9	48.9	30.7	5.7 <u>3/</u>	...	...
Reserve money growth	21.8	15.7	42.9	35.2	17.9 <u>3/</u>	...	...
Broad money growth	15.5	20.9	33.6	13.4	10.0 <u>3/</u>	...	...
Central Government revenue/GDP <u>4/</u>	23.3	23.7	22.1	23.2	23.3	24.0	24.0
Central Government expenditure/GDP <u>4/</u>	31.0	28.4	32.5	29.4	26.2	26.0	26.0
Central Government deficit (excluding grants)/GDP <u>4/</u>	-7.7	-4.8	-10.4	-6.1	-2.9	-2.0	-2.0
Central Government deficit (including grants)/GDP <u>4/</u>	-5.7	-2.9	-9.2	-4.7	-1.8	--	--
Export growth (volume)	8.1	-3.5	-2.2	6.4	8.4	7.2	6.4
Import growth (volume)	-14.1	-8.9	-3.6	-10.1	13.2	7.8	7.4
Current account deficit/GDP (excluding official transfers)	7.5	5.7	4.2	1.6	1.5	1.2	0.8
Current account deficit/GDP (including official transfers)	5.2	3.2	1.6	-0.6	-0.2	-0.4	-0.7
Gross official reserves (months of imports)	1.4	1.1	1.2	1.8	1.9	2.1	2.3

Sources: Data provided by the Kenyan authorities; staff estimates and projections.

1/ Composite index for Nairobi.

2/ Change in 12-month period; CBK, Central Bank of Kenya.

3/ Change in 12-month period ending September 1994.

4/ Fiscal year beginning July 1 of the calendar year indicated.

Table 7. Kenya: Central Government Financing Flows
 July 1993-September 1994

	1993/94			1993/94	1994	Oct. 93-
	Jul.- Sept.	Oct.- Dec.	Jan.- June	Jul- June	July- Sept.	Sept. 94
(In millions of Kenya shillings)						
Net domestic financing	14,750	-1,813	-3,859	9,078	1,667	-4,005
Banking System	11,915	79	-2,091	9,903	500	-1,512
Central Bank of Kenya	(19,511)	(1,092)	(-1,322)	(19,281)	(--)	(-230)
Commercial banks	(-7,596)	(-1,013)	(-769)	(-9,378)	(500)	(-1,282)
Other	2,835	-1,892	-1,768	-825	1,167	-2,493

Sources: Data provided by the Central Bank of Kenya; and staff estimates.

Table 8. Kenya: Financial Performance of Selected Public Enterprises, 1992/93-1994/95

(In millions of Kenya shillings)

Cumulative from beginning of financial year (July 1)	1992/93	1993/94				1994/95	
	June	Sept.	Dec.	Mar.	June	Sept.	June
I. Operational profit							
Kenya Power and Lighting Corporation (KPLC)	-147	65	-8	504	1,874	654	4,660
Kenya Railways (KR)	62	172	355	495	647	94	260
National Cereals and Produce Board (NCPB)	-1,784	-309	-609	-1,341	-1,901	211	1,098
Kenya Ports Authority (KPA)	694	600	1,200	1,800	2,400	656	2,623
Total	<u>-1,175</u>	<u>528</u>	<u>938</u>	<u>1,458</u>	<u>3,020</u>	<u>1,615</u>	<u>8,641</u>
II. Liquid assets with commercial banks							
Kenya Power and Lighting Corporation (KPLC)	-150	143	839	920	-979	-532	-559
Kenya Railways (KR)	-106	-112	-170	-150	-123	-320	-860
National Cereals and Produce Board (NCPB)	383	118	-650	-213	191	350	70
Kenya Ports Authority (KPA)	1,410	1,227	1,258	1,328	1,344	945	-285
Total	<u>1,537</u>	<u>1,376</u>	<u>1,277</u>	<u>1,885</u>	<u>433</u>	<u>443</u>	<u>-1,634</u>

Source: Data provided by enterprises.

Table 9. Kenya: Monetary Survey, 1992-94

	<u>1992</u>	<u>1993</u>				<u>1994</u>			
	<u>Dec.</u>	<u>March</u>	<u>June</u>	<u>Sept.</u>	<u>Dec.</u>	<u>March</u>	<u>June</u>	<u>Sept.</u>	
	Actual				Projected				
<u>(In millions of Kenya shillings)</u>									
Net foreign assets	-6,583	-1,375	-2,289	4,005	8,297	8,668	9,103	9,281	
Net domestic assets	105,875	107,213	106,938	107,487	104,310	104,386	106,069	113,361	
Total domestic credit	99,858	103,780	92,240	102,450	101,110	101,186	102,869	110,161	
Government (net)	32,311	31,434	22,811	34,726	34,805	34,657	32,714	33,214	
CBK	17,654	11,997	7,377	26,888	27,980	28,132	26,658	26,658	
Commercial banks	14,657	19,438	15,432	7,838	6,825	6,525	6,056	6,556	
Other	67,547	72,346	69,429	67,724	66,305	66,529	70,155	76,947	
Other items (net)	6,017	3,432	14,698	5,037	3,200	3,200	3,200	3,200	
Money and quasi-money	99,292	105,837	104,648	111,493	112,608	113,054	115,172	122,642	
Money	49,403	51,656	52,021	55,799	...	...	...	...	
Quasi-money	49,889	54,181	52,627	55,694	...	...	...	...	
<u>(Annual change in percent)</u>									
<u>Memorandum items:</u>									
Net domestic assets	28.5	26.4	22.9	13.5	-1.5	-2.6	-0.8	5.5	
Total domestic credit	15.3	17.0	2.6	6.4	1.3	-2.5	11.5	7.5	
Government (net)	-0.7	-2.7	-26.0	4.6	7.7	10.3	43.4	-4.4	
Other	24.9	28.3	17.5	7.3	-1.8	-8.0	1.0	13.6	
Money and quasi-money	33.6	36.3	34.7	26.0	13.4	6.8	10.1	10.0	

Sources: Central Bank of Kenya; and staff estimates and projections.

Table 10. Kenya: Central Bank of Kenya Balance Sheet, 1992-94

(In millions of Kenya shillings)

	1992		1993			1993	1994		
	June	Dec.	March	June	Sept.	Dec.	March	June	Sept.
Net foreign assets ^{1/}	-10,624	-8,580	-7,376	-12,402	-12,149	-10,065	-9,897	-9,260	-9,082
Net domestic assets	28,750	34,313	32,831	39,171	42,938	44,860	45,242	43,366	45,381
Domestic credit	29,455	30,095	21,623	13,080	32,562	35,153	34,805	32,929	35,444
Government net	22,947	17,654	11,997	7,377	26,888	27,980	28,132	26,658	26,658
Securities	3,065	3,058	3,058	3,058	25,458	25,458	25,458	25,458	25,458
Direct advances	11,948	10,074	200	200	200	200	200	200	200
Treasury bills	5,061	--	3,840	22,769	2,691	--	--	--	--
Treasury bonds	--	--	--	--	28,991	19,883	9,197	--	--
Government securities									
rediscounts	2,873	4,522	6,476	5,126	2,209	1,784	1,000	1,000	1,000
Less: Government deposits	(--)	(--)	(1,577)	(--)	(11,357)	(3,149)	(213)	(--)	(--)
Government special account	(--)	(--)	(--)	(23,776)	(21,304)	(16,196)	(7,510)	(--)	(--)
Advances and discounts to commercial banks	6,508	12,441	9,626	5,703	5,674	7,173	6,673	6,271	8,786
Of which: export pre-shipment	(4,376)	(7,322)	(780)	(775)	(775)	(775)	(775)	(775)	(775)
overnight advances	(1,545)	(1,259)	(1,158)	(1,466)	(13)	(3,000)	(2,500)	(4,098)	(6,613)
overdraft	(587)	(3,860)	(7,688)	(3,462)	(4,886)	(3,398)	(3,398)	(1,398)	(1,398)
Other domestic assets	-706	4,218	11,208	26,090	10,376	9,707	10,437	10,437	9,937
Other assets	1,454	5,464	7,942	16,499	12,075	10,075	8,805	8,805	8,805
Of which: foreign exchange									
not delivered	(...)	(--)	(--)	(13,539)	(5,803)	(3,803)	(3,803)	(3,803)	(3,803)
Uncleared effects	1,818	2,746	7,558	3,330	367	200	200	200	200
Revaluation account	6,229	5,989	5,989	18,029	12,495	12,495	12,495	12,495	12,495
Less: Other liabilities and									
provisions	(4,679)	(2,347)	(3,158)	(4,986)	(7,563)	(7,563)	(5,563)	(5,563)	(4,563)
Capital	(500)	(500)	(500)	(500)	(500)	(500)	(500)	(500)	(500)
General reserve fund	(1,558)	(1,558)	(1,558)	(--)	(--)	(--)	(--)	(--)	(1,500)
Other deposits	(3,470)	(5,577)	(5,065)	(6,282)	(6,498)	(5,000)	(5,000)	(5,000)	(5,000)
Reserve money	18,126	25,733	25,455	26,769	30,789	34,795	35,345	34,106	36,299
Currency outside banks	12,725	17,205	17,250	17,775	18,624	19,308	19,461	18,427	19,799
Bank reserves	5,400	8,527	8,205	8,994	12,166	15,487	15,884	15,680	16,500
Bank deposits with									
Central Bank of Kenya	3,430	5,675	5,743	6,594	9,395	12,709	13,119	12,890	13,557
Required deposits	3,610	4,380	4,802	6,460	8,044	12,709	13,119	12,890 ¹	13,557
Excess deposits	-180	1,295	941	134	1,351	--	--	--	--
Cash in till	1,970	2,853	2,462	2,400	2,771	2,778	2,765	2,789	2,943
Memorandum items:									
Reserve money, seasonally adjusted	18,901	24,839	24,642	27,916	30,727	33,586	34,216	35,500	36,227
Quarterly growth, annualized	15.5	23.8	-3.1	64.7	46.8	42.7	7.7	15.9	8.4
12-month growth	13.4	42.9	35.1	47.7	30.5	35.2	38.9	27.4	17.9
Broad money ^{2/}	77,709	99,292	105,837	104,648	111,493	112,608	113,054	115,172	122,642
12-month growth	20.2	33.6	36.3	34.7	26.0	13.4	6.8	10.1	10.0
Broad money, seasonally adjusted	79,783	98,504	107,558	107,441	111,716	111,714	114,892	118,247	122,888
Quarterly growth, annualized	4.5	52.4	42.2	-0.4	16.9	--	11.9	12.2	16.6
Money multiplier (M2/Reserve money)	4.29	3.86	4.16	3.91	3.62	3.24	3.20	3.38	3.38

Sources: Data provided by the Central Bank of Kenya; and staff estimates.

^{1/} September 1993-September 1994 assumes a constant exchange rate of K Sh 69/US\$1.

^{2/} For June 1993, broad money reflects reduction in deposits of closed commercial banks which were frozen pending settlement by the Deposit Protection Fund.

Table 11. Kenya: Stock of Arrears on Public and
Publicly Guaranteed External Debt, September 30, 1993

(In millions of U.S. dollars)

Bilateral	535.0
Austria	64.0
Belgium	2.5
Canada	21.1
Denmark	6.3
Finland	0.1
France	225.7
Germany	3.4
Italy	1.1
Netherlands	27.2
Saudi Arabia	16.2
Sweden	4.3
United Kingdom	147.8
United States	13.2
Yugoslavia	1.7
Others	0.4
Multilateral	13.2
Badea	2.2
EEC/EIB	2.0
Others	9.0
Financial Institutions	63.7
Suppliers Credit	93.8
Export Credit	12.0
Total	717.8

Source: Data provided by the authorities.

Table 12. Kenya: External Financing Requirements, 1992-2000 ^{1/}

(In millions of U.S. dollars)

	1992	1993	1994	1995	1996	1997	1998	1999	2000
Total financing requirement	502	603	1,215	522	703	665	637	390	405
Current account, excluding official grants and interest payments	115	-137	-137	-170	-170	-163	-161	-155	-146
Private and short-term capital	-44	-74	-52	-50	-51	-93	-105	-119	-135
Interest payment	241	235	237	257	232	251	246	243	241
Amortization ^{2/}	409	381	407	379	575	563	552	338	368
Of which: payment of exceptional financing	(--)	(--)	(--)	(--)	(208)	(207)	(207)	(--)	(--)
IMF (net)	83	62	14	36	58	67	63	54	32
Reduction in arrears	-387	-68	695	--	--	--	--	--	--
Reserve build-up ^{3/}	86	205	50	69	58	41	41	31	47
Disbursements from existing commitments	502	571	354	299	188	55	22	7	--
Grants	225	137	97	83	57	--	--	--	--
Loans	278	434	257	216	131	55	22	7	--
Financing gap	--	32	861	223	515	610	614	384	405
Disbursements from expected commitments	--	--	173	76	188	320	357	385	406
Project	--	--	35	76	188	320	357	385	406
Balance of payment support	--	--	138	--	--	--	--	--	--
Remaining gap	--	32	688	147	330	291	256	--	--

Sources: Data provided by the Kenyan authorities; the World Bank and Fund staff estimates.

^{1/} Baseline scenario.

^{2/} On public medium- and long-term debt.

^{3/} Includes US\$60 million special addition to reserves to create maize reserve for 1994.

Table 13. Kenya: Quantitative Benchmarks and Performance Criteria Under the One-Year ESAF Arrangement

	1993		1994		
	Sept. Act.	Dec. Bench- marks	March Perf. criteria	June Bench- marks	Sept. Bench- marks
(In millions of Kenya shillings)					
Central Government deficit (-) <u>1/</u>	-13,063	-19,854	-24,050	-24,654	-31,682
Net domestic assets of CBK <u>2/</u> <u>3/</u>	42,938	44,860	45,242	43,366	45,381
Of which: net credit to Central Government <u>2/</u>	(26,888)	(27,980)	(28,132)	(26,658)	(26,658)
Combined operating surplus of selected public enterprises <u>4/</u> <u>5/</u>	528	938	1,458	3,020	1,615
Combined liquid assets of selected public enterprises <u>4/</u>	1,376	1,277	1,885	433	443
(In millions of SDRs)					
Net international reserves of the CBK <u>6/</u>	-110	-89	-85	-81	-79
Contracting of new nonconcessional external borrowing of 1-15 years' maturity by Government or guaranteed by Government <u>7/</u>	...	50	50	50	50
Of which: 1-5 years' maturity <u>7/</u>	(...)	(--)	(--)	(--)	(--)
Change in stock of short-term external debt of Government or guaranteed by Government <u>7/</u> <u>8/</u>	...	--	--	--	--
Reduction in external payments arrears <u>9/</u>	...	13	13	42	42

1/ On a commitment basis, excluding grants; cumulative from July 1, 1993.

2/ To be adjusted downward by the amount of excess budgetary support from external sources, compared with projections; i.e., K Sh 11,378 million by December 1993, K Sh 18,408 million by March 1994, K Sh 23,527 million by June 1994, and K Sh 27,292 million by September 1994 (cumulative from July 1, 1993).

3/ To be adjusted downward for any shortfall in commercial banks' compliance with the statutory cash ratio.

4/ Includes Kenya Ports Authority, Kenya Power and Lighting Corporation, Kenya Railways, and National Cereals and Produce Board.

5/ For September and December 1993 and March and June 1994, cumulative from July 1, 1993; for September 1994, cumulative from July 1, 1994.

6/ To be adjusted upward by the amount of any excess budgetary support from external sources, compared with projections; i.e., K Sh 11,378 million by December 1993, K Sh 18,408 million by March 1994, K Sh 23,527 million by June 1994, and K Sh 27,292 million by September 1994 (cumulative from July 1, 1993).

7/ Cumulative from October 1, 1993.

8/ Excludes normal, import-related credits.

9/ By cash payment; cumulative from October 1, 1993; medium- and long-term government and government-guaranteed debt.

Table 14. Kenya: Structural Benchmarks and Performance Criteria
Under the One-Year ESAF Arrangement

Action	Timing
Maintenance of positive real interest rates <u>1/</u>	Quarterly
Full decontrol of maize prices and maize movement <u>2/</u>	End-March 1994 <u>3/</u>
Full decontrol of marketing and pricing of petroleum products <u>2/</u>	July 1, 1994
Reduction in number of civil service positions by 4,000 each quarter	Quarters ending December 1993, March 1994, June 1994, and September 1994
Reduction in NCPB's depot network <u>4/</u> by 10 depots by 25 depots	End-March 1994 End-September 1994
Reduction in NCPB's permanent staff to at most 3,750 staff to at most 3,300 staff	End-March 1994 End-September 1994
Increase in export retention ratio to 100 percent <u>2/</u>	End-April 1994

1/ Real interest rate defined as the average of the effective annual yield on the highest accepted bids on 90-day Treasury bills in the last month of the quarter minus the average of the annualized rate of inflation (CPI) of the previous quarter and the targeted annualized rate of inflation for the next quarter.

2/ Constitutes performance criterion.

3/ To be announced by end-March 1994, and to take effect by July 1, 1994.

4/ Cumulative from October 1, 1993.

Table 15. Kenya: Long-Term Balance of Payments, 1992-2004 ^{1/}

(In percent; unless otherwise noted)

	1992	1993	1994	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004
Current account balance ^{2/}													
In millions of U.S. dollars	-356	-98	-100	-87	-64	-86	-85	-87	-95	-97	-101	-108	-120
As a percentage of GDP	4.2	1.6	1.5	1.2	0.8	1.1	1.0	0.9	0.9	0.9	0.8	0.8	0.9
Change in terms of trade	5.5	1.9	-0.4	0.8	1.0	--	--	--	--	--	--	--	--
Total export volume growth	-2.2	6.4	8.4	7.2	6.4	5.5	5.5	5.4	5.3	5.3	5.3	5.2	5.2
Nontraditional export volume growth	2.9	5.8	12.5	8.5	7.5	6.5	6.5	6.3	6.0	6.0	6.0	5.7	5.7
Total import volume growth	-3.6	-10.1	13.2	7.8	7.4	5.9	5.9	5.9	5.9	5.9	5.9	5.9	5.9
Private non-oil import volume growth	-3.4	-2.6	16.1	8.0	7.5	6.0	6.0	6.0	6.0	6.0	6.0	6.0	6.0
Net capital inflows plus official transfers (a percentage of GDP) ^{3/}	1.1	3.1	11.8	2.0	1.7	1.2	0.9	0.6	0.4	0.4	0.3	0.2	0.2
Gross reserves													
In millions of U.S. dollars	181	252	300	368	425	464	504	528	566	644	741	851	982
In months of nongovernment imports	1.2	1.9	2.0	2.2	2.4	2.4	2.4	2.4	2.4	2.5	2.7	2.9	3.1
In months of total imports	1.2	1.8	1.9	2.1	2.3	2.3	2.3	2.3	2.3	2.4	2.6	2.8	3.0
Debt service as a percentage of exports of goods and services	32.9	29.6	25.8	24.1	28.9	27.6	25.4	17.8	16.9	15.2	14.3	13.5	12.6
Debt as a percentage of exports of goods and services	259	251	250	228	210	204	188	172	158	146	134	123	113
Net use of Fund credit													
In millions of SDRs ^{4/}	-59	-22	13	-26	-42	-49	-46	-46	-32	-16	-9	-9	-2
Debt as a percentage of GDP	69.0	90.8	97.1	90.1	82.7	79.1	72.0	65.3	59.3	53.9	49.0	44.5	40.3
Interest payments as a percentage of exports of goods and services	10.8	10.3	9.3	9.2	7.7	7.9	7.2	6.7	6.2	5.6	5.1	4.6	4.1

Source: Fund staff projections.

^{1/} Baseline scenario.

^{2/} Excluding official transfers.

^{3/} Includes financing below the line.

^{4/} Assumes disbursements under ESAF of SDR 22.6 million for 1993 and 1994, respectively, and zero disbursements after 1995.

Table 16. Kenya: Indicators of Fund Credit, 1992-2004 ^{1/}

(In percent)

	1992	1993	1994	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004
Outstanding Fund credit/GDP	4.8	5.8	5.9	4.9	3.8	2.7	1.8	1.0	0.5	0.2	0.1	--	--
Outstanding Fund credit/Quota	201	133	139	126	105	80	57	34	18	10	6	1	--
Debt service to Fund/ Exports of goods, nonfactor services, and private transfers	4.4	3.0	0.7	1.4	2.1	2.2	2.0	1.8	1.2	0.6	0.3	0.3	0.1
Debt service to Fund/ Total debt service ^{2/}	13.4	10.2	2.7	5.9	7.1	8.0	7.7	10.3	7.2	3.9	2.3	2.0	0.5
Debt service to Fund/ International reserves	53.5	27.7	5.9	10.8	14.5	15.2	13.2	12.5	8.2	3.8	2.0	1.5	0.3
Debt service to IFIs/ Total debt service ^{3/}	45.3	43.0	35.9	36.9	30.2	29.8	28.8	37.6	31.3	26.3	23.4	21.9	20.2
Debt service to IFIs/ International reserves ^{3/}	181.3	116.3	78.7	67.5	61.6	56.7	49.3	45.8	36.0	25.6	19.7	16.2	12.9

Source: Fund staff projections.

^{1/} Baseline scenario.^{2/} Assumes disbursements under ESAF of SDR 22.6 million for 1993 and 1994, respectively.^{3/} IFI, international financial institution.

Kenya: Fund Relations
 (As of October 31, 1993)

I. Membership Status: Joined 2/03/64; Article XIV

II. <u>General Resources Account</u> :	<u>SDR Million</u>	<u>% Quota</u>
Quota	199.40	100.0
Fund holdings of currency	189.13	94.9
Reserve position in Fund	12.23	6.1

III. <u>SDR Department</u> :	<u>SDR Million</u>	<u>% Allocation</u>
Net cumulative allocation	36.99	100.0
Holdings	.62	1.7

IV. <u>Outstanding Purchases and Loans</u> :	<u>SDR Million</u>	<u>% Quota</u>
Stand-by arrangements	1.96	1.0
SAF arrangements	25.56	12.8
ESAF arrangements	216.17	108.4

V. Financial Arrangements:

Type	Approval Date	Expira- tion Date	Amount Approved (SDR Million)	Amount Drawn (SDR Million)
ESAF	5/15/89	3/31/93	261.40	216.17
Stand-by	2/01/88	5/15/89	85.00	62.60
SAF	2/01/88	5/14/89	99.40	28.40

VI. Projected Obligations to Fund (SDR Million; based on existing use of resources and present holdings of SDRs):

	Overdue 10/31/93	<u>Forthcoming</u>				
		<u>1993</u>	<u>1994</u>	<u>1995</u>	<u>1996</u>	<u>1997</u>
Principal		2.0	9.7	25.8	41.9	48.9
Charges/interest		1.0	2.7	2.6	2.5	2.3
Total		3.0	12.4	28.4	44.4	51.2

VII. Exchange Rate Arrangement

Float. The exchange rate on October 31, 1993 was K Sh 69.11 = US\$1.

VIII. Article IV Consultation

Kenya is on the 12-month cycle for Article IV consultations.

The last Article IV consultation was concluded in 1992 (EBS/92/109 and SM/92/125), and the following decision was adopted in July 17, 1992.

Kenya: Fund Relations (concluded)
(As of October 31, 1993)

1. The Fund takes this decision relating to Kenya's exchange measures subject to Article VIII, Section 2(a), and in concluding the 1992 Article IV consultation with Kenya, in light of the 1992 Article IV consultation with Kenya conducted under Decision No. 5392-(77/63) adopted April 29, 1977, as amended (Surveillance over Exchange Rate Policies).

2. Kenya maintains the restrictions on payments and transfers for current international transactions as described in SM/92/125 and EBS/92/109, Sup. 1 in accordance with Article XIV, Section 2, except that the restrictions (a) evidenced by external payments arrears, (b) in the form of limits for the remittances of rental income of nonresidents, and (c) resulting from delays in the allocation of foreign exchange, are subject to Fund approval under Article VIII, Section 2(a). The Fund urges Kenya to eliminate the exchange restrictions subject to Article VIII as soon as possible.

IX. Technical Assistance

A diagnostic technical assistance mission from MAE visited Nairobi in November 1993, to provide assistance in bank supervision, foreign exchange management, and monetary and public debt management.

Relations with the World Bank Group

The World Bank has a large ongoing program in Kenya. As of March 30, 1993, it had committed US\$3.0 billion, of which US\$2.3 billion had been fully disbursed (Statement A). Investments (loans and equity) by IFC totaled US\$149 million, of which US\$148 million had been fully disbursed (Statement B).

1. Agriculture

The Bank's dialogue on agriculture is centered around a policy reform program supported by two quick-disbursing sector adjustment credits which were approved in June 1986 and January 1991. Among the components of this program are (i) measures to increase the availability and distribution of agricultural inputs (especially fertilizer); (ii) movement toward price flexibility and deregulation; (iii) rationalization of government expenditure in the sector; (iv) the divesting of some agricultural parastatals and the restructuring of others in the context of better defined policies on parastatals; and (v) the preparation of action plans for improving drought preparedness.

These policy measures are complemented by ongoing investment projects in coffee rehabilitation, forestry, agriculture research, rehabilitation of animal health services, and the provision of countrywide extension services. Investment lending will continue to complement the policy reforms, with greater attention being given to implementing land and environmental management, and arid and semi-arid agricultural techniques. The Bank has developed and tested new methodologies or approaches in these areas in order to ensure replicability before embarking on large-scale national investments. To assist the Government in implementing a tourism and wildlife management and conservation policy and investment program, IDA approved a Wildlife Services program in February 1992. An agricultural sector management project was approved in December 1992. It includes the preparation of restructuring plans for the Ministry of Agriculture and Livestock Development, and restructuring and privatization options for the coffee and sugar subsectors. A drought recovery project was approved in February 1993 in response to the inadequate and irregular rainfall in late 1991 and early 1992.

2. Energy

The Bank's efforts in this sector are concentrating on lessening Kenya's dependence on imported oil through hydroelectric development, geothermal development, and petroleum exploration promotion. While future lending will be consistent with the least cost recommendations of the recently completed power study, greater attention will be focused on alleviating policy constraints (e.g., pricing and distribution) to attain a more efficient and integrated energy sector, and encourage private sector participation in the power sub-sector.

Relations with the World Bank Group (continued)

3. Industry/finance

Until recently, Kenya's industry has obtained World Bank lending through development finance intermediaries. In support of an industrial reform program, IDA approved an industrial sector adjustment credit for US\$112 million in June 1988. An additional US\$53.7 million was subsequently provided for this operation. In order to stimulate investment, promote export production, and make industries more efficient, the reform program covered areas such as trade liberalization, tariffs, price controls, export promotion, corporate taxation, financial sector policies, and industrial public enterprises. A complementary financial sector adjustment operation was completed in 1991. It addressed, inter alia, interest rate reforms, rationalization of the banking regulatory framework, restructuring of depository institutions, and the development of capital and money markets. A sharply focused export development project was approved by IDA in December 1990. In May 1993, IDA released the second tranche of EDP following the delayed implementation of the sector-specific conditions and improvements in macroeconomic management, especially in the areas of external and monetary policies.

4. Infrastructure

Highway projects and the promotion of railways have accounted for most of the lending to date. A major water supply project for Nairobi was approved by the Board in 1989. The Bank also approved a credit for the water supply in Mombasa and the coastal region, including source works extension with minor adverse environmental impact, and improved coverage of piped water supply to the urban poor. The Bank is currently preparing an urban transport project which will involve investments in new and expanded road links, intersections, and public transport facilities, and the development and implementation of a comprehensive plan for road maintenance, covering issues such as financing and private sector involvement. The transport corridor project, which is also under preparation, will support commercialization and organizational reform of strategic parastatals operating along the corridor from the Mombasa Port to Nairobi, namely, the Kenya Port Authority and Kenya Railways. It will also provide assistance to remedy specific infrastructure deficiencies, remove operational bottlenecks and strengthen the Customs function.

5. Population

The fourth IDA-financed project to help the Government promote fertility control was approved in 1990 and is now being implemented. The project will help meet the growing demand for contraceptives and maintain the momentum of recent progress.

Relations with the World Bank Group (continued)

6. Education and health

The Bank's attention is currently directed at developing viable financing and management capacity in both sectors. In 1991, lending operations designed to promote more efficient utilization of resources in education and health, and to implement appropriate mechanisms to increase cost sharing were prepared. In September 1991, the Board approved an Education Sector Adjustment credit. In addition, to assist the Government with the medium-term development of university education, the Universities project was approved by IDA in November 1991. In November 1991, a Health Rehabilitation project was also approved.

7. Adjustment lending

The World Bank negotiated and fully disbursed two structural adjustment loans (SAL) to Kenya. The first, negotiated in March 1980, was for US\$55 million and was fully disbursed by September 1980. The second, negotiated in July 1982 for US\$131 million, was disbursed in two tranches: in September 1982 and January 1984. The SAL programs were implemented under adverse external circumstances which negatively affected Kenya's performance. The protracted balance of payments crises of 1981 and 1982, as well as the coup attempt in August 1982, forced adjustments in the Government's policies and led to delays and reversals in policy initiatives included in the SAL programs. The speed of implementation was also affected by a shortage of technical personnel and the preoccupation of the authorities with short-term stabilization efforts.

In 1986, it was agreed between IDA and the Government that, for the foreseeable future, Bank financial support for the Government's structural adjustment efforts will take the form of sector adjustment credits rather than comprehensive SALs. IDA has approved six sector adjustment operations, two for agriculture, one for industry, one for the financial sector, an export development program, and an adjustment credit for education. IDA is currently reviewing this lending strategy because Kenya's failure to deal with cross-sectoral issues is undermining the effectiveness of previous sectoral reforms and is forcing the economy onto a low long-term growth path. IDA is also concerned that the slow pace of adjustment under the sectoral approach has been insufficient for the desired rate of economic growth, job creation, and poverty alleviation.

STATUS OF BANK GROUP OPERATIONS IN KENYA (continued)

A. STATEMENT OF BANK LOANS AND IDA CREDITS

(as of September 30, 1993)

Credit No.	Year	Purpose	(US\$ Million)		Undis- bursed
			(Less Cancellations)		
			Bank	IDA	
Forty-five (45) Loans and fifty five (55) credits fully disbursed Of which SECALs, SALs and Program Loans/Credits: a/			928.41	1070.70	
Cr.0990-0	1980	Struct. Adj. Credit		55.00	
Cr.1276-0	1983	Struct. Adj. Credit II		70.00	
Cr.A021-0	1986	Agriculture Sector		40.00	
Cr.1717-0	1986	Agriculture Sector		20.00	
Cr.A036-0	1988	Industrial Sector Operation		10.00	
Cr.1927-0	1988	Industrial Sector Operation		102.00	
Cr.1927-1	1988	Industrial Sector Operation		53.70	
Cr.2049-0	1989	Financial Sector Operation		120.00	
Cr.2049-1	1990	Financial Sector Operation		44.00	
Cr.2049-2	1991	Financial Sect. Oper.		67.30	
Ln.2190-0	1983	Structural Adj. Credit II	60.90		
Cr.F0170	1984	Second Highway Sector		40.00	3.75
Cr.16730	1986	Sixth Education		37.50	12.81
Cr.17580	1987	Animal Health Services		15.00	10.97
Cr.18200	1987	Second Railway		28.00	5.31
Cr.18490	1988	Nat. Agriculture Research		19.60	9.62
Cr.19040	1988	Population III		12.20	8.58
Cr.19730	1989	Geothermal Development		40.70	9.93
Cr.19740	1989	Rural Services Design		20.80	11.90
Cr.20580	1990	TA		5.00	4.24
Cr.20600	1990	Third Nairobi Water Suppl. Proj		64.80	43.06
Cr.20620	1990	Coffee II		46.80	29.52
Cr.21110	1990	Population IV		35.00	31.91
Cr.21470	1990	TA-DFI Res/Exp. Prom		6.00	4.01
Cr.21970 b/	1991	Export Development		100.00	3.10
Cr.21980	1991	Forestry Development		19.90	17.29
Cr.21990	1991	Agr. Natl. Ext. II		24.90	19.80
Cr.22040 b/	1991	Agric. Sector Adjust. II		41.52	6.75
Cr.22950 b/	1992	Education Sect. Adj. Cr.		100.00	70.68
Cr.23090	1992	Universities		55.00	52.56
Cr.23100	1992	Health Rehabilitation		31.00	26.98
Cr.23330	1992	Mombasa Water II Eng.		43.20	39.73
Cr.23340	1992	Wildlife Services Pr		60.50	50.45
Cr.22951 b/	1993	Education Sector Adj. Cr		52.14	53.18
Cr.24400	1993	Parastatal Reform TA		23.32	22.76
Cr.24450	1993	Agric. Sect. Mngt. I		19.40	19.51
Cr.24600	1993	Drought Recovery		20.00	18.08
Ln.24090	1984	Second Highway Sector	5.00		3.31
Total			933.41	2032.98	589.79
of which repaid			541.28	36.99	
Total held by Bank & IDA			392.13	1995.99	
Amount sold 11 74					
of which repaid 11 74					
Total undisbursed					589.79

a/ Approved after FY80

b/ SAL, SECAL or Program Loan/Credit

STATUS OF BANK GROUP OPERATIONS IN KENYA (concluded)

B. STATEMENT OF IFC INVESTMENTS IN KENYA

(as of September 30, 1993)

Fiscal Year	Obligor	Type of Business	Amount in US\$ Million		
			Loan	Equity	Total
1993	AEF-Future Hotel	Restaurants & Hotels	0.50	0.00	0.50
1991	AEF-MALAA	Agric. Wholesale & Retail	0.53	0.16	0.69
1992	AEF-Wood Complex	Mfg. of Wood & Cork Products	0.40	0.00	0.40
1982	Bamburi Cement	Cement Lime & Plaster	4.43	0.00	4.43
1984, 1980	DFCK	DFC, Mfg Pulp Paper & Paperboard	5.07	1.31	6.38
1982	DTK	Merchant Banks	0.00	0.80	0.80
1986	EBP	Restaurants and Hotels	3.67	0.00	3.67
1982	IPS (K)	Venture Capital Companies	0.00	0.55	0.55
1987, 1987, 1993	IPS (K)-ALLPACK	Venture Capital Companies	0.00	2.36	2.36
1990	IPS(K)-FRIGOKEN		0.00	0.06	0.06
1991	IPS(K)-NOVASKINS		0.00	0.14	0.14
1989	IPS(K)-PREM FOOD		0.00	0.11	0.11
1989	IPS(K)-PREM REFR		0.00	0.14	0.14
1988, 1992	IPS(K)-UKULIMA		0.00	0.06	0.06
1981	KDFC	Sm. & Med. Scale Enterprises	5.00	0.00	5.00
1967, 1968, 1973	Kenya Hotel	Restaurants and Hotels	5.16	0.72	5.88
1992	LIK		0.00	0.03	0.03
1984		Tanneries & Leather Finishing	2.12	0.60	2.72
1986	Madhupaper	Mfg. Pulp Paper & Paperboard	37.16	1.97	39.13
1986	Oil Crop	Mfg. Vegetables & Animal Oil	9.65	2.14	11.79
1970, 1974, 1977, 1979, 1981, 1988, 1990	Pan African	Mfg. Pulp Paper & Paperboard	40.74	6.27	47.01
1976, 1985	Rivatex	Spinning, Weaving & Finishing	8.16	3.35	11.51
1977	SMSIE - KE	Small & Med. Scale Enterprises	2.00	0.00	2.00
1983	TETRA PAK	Mfg. Containers & Boxes	2.17	0.37	2.54
1972	TPS (Kenya)	Tourism Services	2.42	0.05	2.47
Total Gross Commitments			129.18	21.19	150.37
Less: repayments, cancellations, exchange adjustments, writeoffs, terminations and sales			108.95	11.70	120.66
Total Commitments now held by IFC			20.23	9.49	29.71
Total Undisbursed			0.40	0.62	1.02
Total Outstanding IFC			19.83	8.87	28.69

Kenya: Selected Social and Demographic Indicators 1/

Area	
Total land area (square kilometers)	580,000
Population and vital statistics	
Total population (1992, in millions)	26.98
Population growth rate (1982-1992 average, in percent)	4.2
Urban population (percent of total)	24
Population density (1992, per square kilometer)	46.5
Population age structure (in percent)	
0-14 years	48.8
15-64 years	49.4
65 and above	1.8
Crude birth rate (per thousand)	45
Crude death rate (per thousand)	11
Infant mortality rate (per thousand)	67
Life expectancy at birth (years)	59
Health and nutrition	
Access to safe water (in percent of population)	
Urban (1989)	61
Rural (1989)	21
Population per physician (in thousands) (1990)	10
Per capita supply of	
Calories (per day) (1989)	1,973
Proteins (grams per day) (1989)	55
Labor force	
Total wage employment (in millions) (1992)	1.5
Male (in percent)	75.9
Female (in percent)	24.1
Education	
Enrollment rates (in percent)	
Primary (1990)	94
Secondary (1990)	23
Pupil-teacher ratio	
Primary (1990)	31
Secondary (1990)	20

Sources: The World Bank, World Development Report, 1993; and Social Indicators of Development, 1993; and Republic of Kenya Economic Survey 1993.

1/ Unless otherwise indicated, estimates refer to the latest available data for 1991.